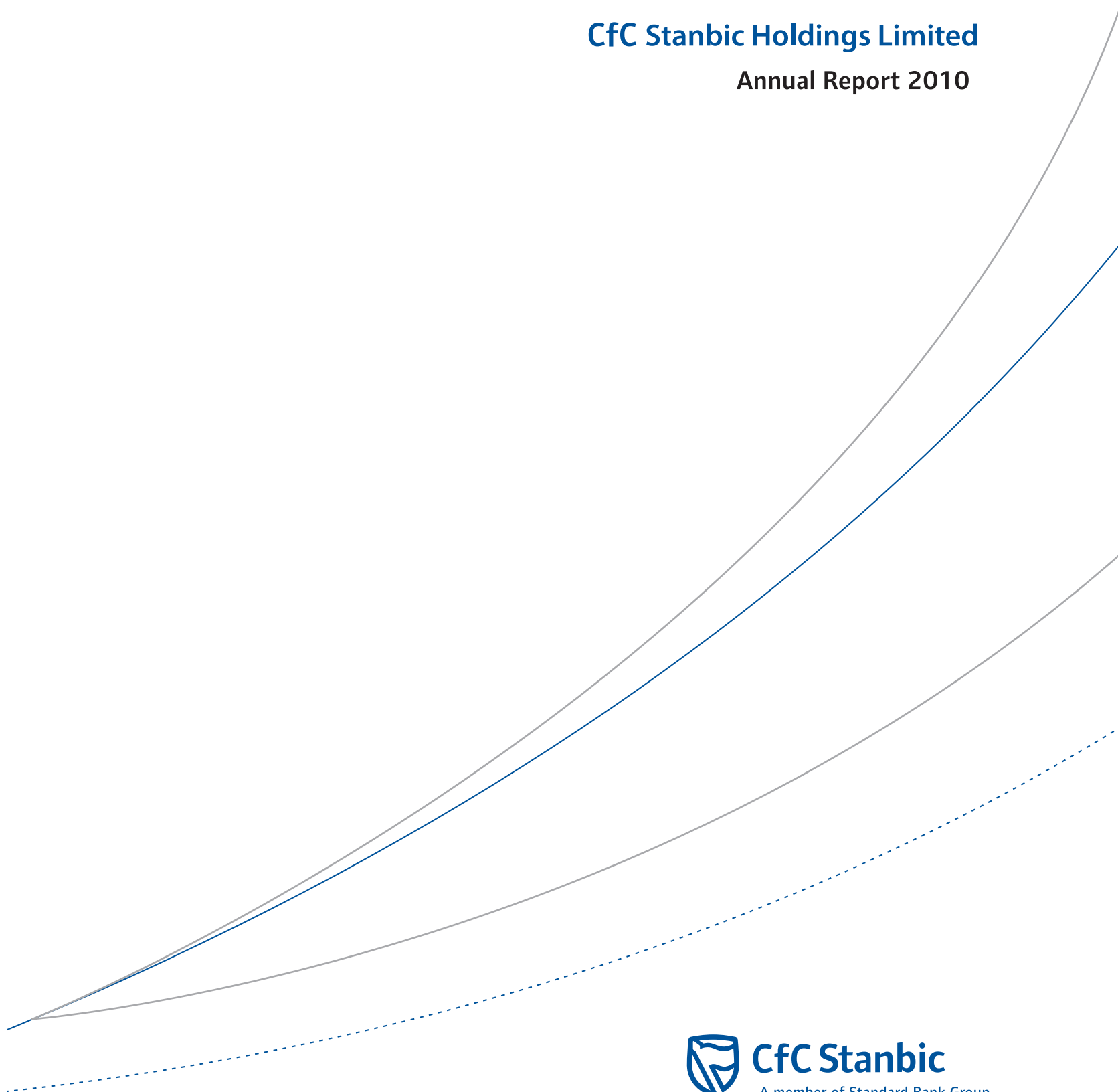


CfC Stanbic Holdings Limited

Annual Report 2010



CfC Stanbic

A member of Standard Bank Group



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Directors, Officers and Administration

Chairman:	Fred N. Ojiambo, SC
Managing Director:	K Mbathi
Non-Executive Directors:	J G Kiereini
	J Babsa-Nzibo
	G R Brackenridge*
	E W Njoroge
	R Kimotho
	GR May**
	RT Ngobi
	CK Muchene

* South African

** British

Secretary:	Mugambi Nandi
	P.O. Box 72833
	00200 Nairobi

Auditor:	Pricewaterhouse Coopers
	The Rahimtulla Tower
	Upper Hill Road
	P O Box 43963
	00100 Nairobi

Registered Office:	CfC Stanbic Centre
	Chiromo Road
	P O Box 72833
	00200 Nairobi

Principal Bankers:	CfC Stanbic Bank Limited
	Chiromo Road
	P O Box 30550
	00100 Nairobi GPO



Directors, Officers and Administration (continued)



Fred N. Ojiambo - Chairman



Kitili Mbathi - Managing Director



Edward Njoroge - Director



Ruth Ngobi - Director



Rose W. Kimotho - Director



Jeremiah Kierieni - Director



Charles Muchene - Director



Gayling May - Director



Jane Babsa-Nzibo - Director



Greg Brackenridge - Director



Mugambi Nandi - Secretary



Notice of Annual General Meeting

Notice is hereby given that the fifty-sixth Annual General Meeting of the Members of CfC Stanbic Holdings Limited will be held on 25 May 2011, at CfC Stanbic Centre, Chiromo Road, Nairobi, at 2.00pm to transact the following business:

1. The Secretary to read the notice convening the meeting and confirm the presence of a quorum.
2. To receive and consider the Audited Financial Statements for the year ended 31 December 2010 and the Directors' and Auditors' Report thereon.
3. To consider, and if thought fit, approve the payment of dividend for the year ended 31 December 2010 as recommended by the Directors.
4. To elect Directors:
 - i) In accordance with Article 110 of the Company's Articles of Association, Mr Gayling Richard May retires by rotation and, being eligible, offers himself for re-election.
 - ii) In accordance with Article 110 of the Company's Articles of Association, Ms Rose Wairimu Kimotho retires by rotation and, being eligible, offers herself for re-election.
 - iii) In accordance with Article 109 of the Company's Articles of Association, Mr Charles Kahara Muchene, a director appointed to fill a casual vacancy retires at the dissolution of the meeting and, being eligible, offers himself for re-election.
 - iv) In accordance with Article 109 of the Company's Articles of Association, Ms Ruth Theddesia Ngobi, a director appointed to fill a casual vacancy retires at the dissolution of the meeting and, being eligible, offers herself for re-election.
5. To approve the Directors' remuneration for the year ended 31 December 2010 as provided in the Financial Statements.
6. To note that Messrs PricewaterhouseCoopers continue in office as the auditor under Section 159(2) of the Companies Act and to authorise the Directors to fix their remuneration.
7. Any other business for which due notice has been given.

BY ORDER OF THE BOARD

Mugambi Nandi

Company Secretary

Date: 26 April 2011

NOTE: In accordance with section 136(2) of the Companies Act every member entitled to attend and vote at the above meeting and any adjournment thereof is entitled to appoint a proxy to attend and vote on his/her behalf. A proxy need not be a Member of the Company. A form of proxy is enclosed and should be returned to the Company Secretary, P.O. Box 72833-00200 Nairobi, to arrive not later than 48 hours before the meeting.



Chairman's Statement

It is my pleasure to present the Annual Report and Financial Statements for the year ended 31 December 2010.

Overview

The regional economy continued to experience recovery in 2010. Kenya recorded 4.8% economic growth from 2.5% and 1.7% in 2009 and 2008 respectively. This was mainly supported by the construction industry, communication sector, and infrastructural investments by the Government.

The Group's banking business benefited from the global banking sector recovery stimulated by corrective actions taken across the globe. The Bank continued its expansion into major towns to boost retail banking. It is expected that the licensing of the agency banking in the year coupled with development in mobile banking will improve financial services access to the previously unbanked population.

The Group's stock broking business was stronger due to higher brokerage commissions in line with the NSE rebound. In 2010, the Group injected additional capital to CfC Financial services in compliance with the Finance Act, 2009 increasing the minimum share capital of Investment Banks to Shs 250million.

Restructure and de-merger

Reference is made to the previous announcements made by the Company in 2009/2010 in relation to demerger transactions of the Insurance Businesses. Key steps in the transaction that have already taken place are:

- Changing the name of CfC Holdings Limited to "CfC Insurance Holdings Limited" (CfCIH) and CfCIH implementing a share split of its ordinary shares and a bonus issue of ordinary shares from its share premium account in order to achieve a demerger ratio of 1:1;
 - CfCIH acquiring the 64.08% holding in the issued share capital of Heritage owned by the Company in exchange for an issue of CfCIH ordinary shares;
- CfCIH acquiring the remaining 35.92% holding in the issued share capital of Heritage owned by African Liason and Consultant Services Limited in exchange for an issue of CfCIH ordinary shares; and
- CfCIH allotting and issuing ordinary shares to Liberty

Holdings limited for cash consideration (based on an arm's-length valuation). The capital raised was applied in meeting certain of the anticipated costs of the Restructuring and Demerger, increasing the capital solvency of the Insurance Businesses and reducing the levels of debts in CfCIH in preparation for its listing on the NSE.

The following regulatory approvals and conditions precedent required to complete this transaction have been obtained or complied with, including:

- The shareholders of CSH approving the Demerger at an extra-ordinary general meeting
- the Insurance Regulatory Authority,
- the Exchange Control Division of the South African Reserve Bank,
- the Johannesburg Stock Exchange,
- the Capital Markets Authority,
- the Nairobi Stock Exchange (NSE) and,
- the Minister of Finance acting through the Monopolies and Prices Commissioner

The transaction will be completed through listing of the CfCIH on the Nairobi Stock Exchange by way of introduction.

Performance highlights:-

Income Statement

- Total operating income increased by 35% to Shs 12 billion.
- Non-interest revenue increased by 96% or Shs 2.9 billion mainly driven by enhanced trading volumes and higher investment income.
- Staff costs increased by 46% or Shs 1 billion due to additional head count expansion and new products support.
- Impairment of available for sale securities reduced by 95% to Shs 32m in line with the recovery in the activity of the NSE.
- Total assets increased by 10% to Shs 140 billion.
- The increase in borrowings is the second tranche of the CfC Stanbic Bond issued in December 2010. This was partly offset by settlement of Shs 200m loan.



Chairman's Statement (continued)

As a result of the overall operating performance the directors recommend the payment of a dividend as indicated in the directors' statement on page 13.

Human Resources

The Group's total staff complement as at 31 December 2010 was 1,173 compared to 1,127 in 2009. We continue to raise the skills of our human capital to ensure that a high standard of customer service is upheld at all times.

Compliance

Compliance with best practice and regulatory requirements is enshrined within our values and governance structures in all the subsidiaries. The following are our key regulators;

- The Central Bank of Kenya - primary regulator of the banking business
- Insurance Regulatory Authority – Primary regulator of the insurance businesses
- Capital Markets Authority – Primary regulator of CfC Stanbic Holdings Limited and CfC Stanbic Financial Services Limited.

Our relationship with the regulators is one of mutual trust built through regular and open communication.

Directorate

I am delighted to announce that Ms Ruth Theddesia Ngobi and Mr Charles Kahara Muchene joined the board with effect from 1st February 2011. In accordance with the Company's Articles of Association, they will be presented to the Shareholders for approval, at the next Annual General Meeting. Messrs Charles Njonjo, Mike du Toit and Titus Naikuni retired from the board at the last Annual General Meeting. I take this opportunity to thank them for their commitment to the Company's growth.

Leadership

The Group's leadership strategy is to continue to build competitive advantage through comprehensive development programs and tools. The Group sent

additional managers to the Global Leadership Centre (GLC), a world class leadership development Centre. We believe this is critical in developing excellence among executive and operational leadership. The GLC offers internationally designed management development programs aligned to global best practice and the Group's values and strategy.

Outlook

In 2011 the economy is expected to grow by 5.7%, mainly aided by the public spending on infrastructure and private sector. The Group will continue to strategically position itself in the market by providing relevant and cutting edge products and services to its target markets. Key activity will be the remaining steps in the restructuring and demerger of Insurance businesses.

Appreciation

I would like to thank all our stakeholders and particularly customers for their continued loyal support which has enabled the Group achieve these excellent results.

I would also like to appreciate our staff across the Group. They have continued to render dedication and service. We also wish to acknowledge with gratitude my colleagues on the Board and its Committees for their diligence, guidance and support.

Fred N Ojiambo, SC
Chairman

18 March 2011



Corporate Governance Report

Standard Bank Group Limited - Overview

Standard Bank Group understands that good corporate governance is fundamental to earning the trust of our stakeholders, which is critical to sustaining the organisation's success and preserving shareholder value. In line with this philosophy, the Board is committed to adopt sound governance practices.

The Standard Bank Group's governance framework enables the Board to fulfill its role of providing oversight and strategic counsel in balance with responsibility and ensure conformity with regulatory requirements and acceptable risk tolerance parameters. CfC Stanbic Holdings Limited, as a member of Standard Bank Group is guided by these principles in its governance framework.

CfC Stanbic Group – Overview

The CfC Stanbic Group operates in a highly regulated industry and is committed to complying with legislation, regulation and codes of best practice and seeks to maintain the highest standards of governance, including transparency and accountability.

Whilst the Group continues to nurture a strong culture of governance and responsible risk management in line with the Standard Bank Group's risk appetite and governance framework, the Group is constantly monitoring its practices to ensure that they are the best fit for the Group and serve to enhance business and community objectives.

Codes and regulations

The Group complies with all applicable legislation, regulations, standards and codes, with the Board continually monitoring regulatory compliance.

Shareholders' responsibilities

The shareholders' role is to appoint the Board of Directors and the external auditor. This role is extended to holding the Board accountable and responsible for efficient and effective corporate governance.

Board of Directors

The Group is led by independent members of the Board who, by their skills and diversity, contribute to the efficient running of the Group.

The Board is responsible for the overall corporate governance of the Group, ensuring that appropriate controls, systems and practices are in place.

Board composition and evaluation

There are ten directors on the Board of whom one is executive and nine are non-executive.

The Group's Board of Directors remains steadfast in implementing governance practices where substance prevails over form. This provides direction for subsidiary entities, which structure their respective governance frameworks according to Group standards. The governance framework allows the Board of Directors to consider conformance and performance, enabling them to balance their responsibility for oversight with their role as strategic counsel.

The Board has the right balance between independent, non-executive and executive directors of diverse skills, expertise, competencies and experience to effectively guide the Group and ensure that the objective of shareholder value maximisation is achieved.

All the Group's subsidiary entities have boards of directors. The directors of these boards independently manage the affairs of the entities. A number of committees have been established that assist the various boards in fulfilling stated objectives. The committees' roles and responsibilities are set out in terms of agreed mandates, which are reviewed annually to ensure they remain relevant.

Strategy

The Board considers and approves the Group's strategy at an annual meeting with executive management. Through quarterly management reporting, the Board monitors performance against financial objectives and detailed budgets.

Directors' appointment, induction and training

Since the last Annual General Meeting, the Directors have appointed Ms Ruth Theddesia Ngobi and Mr Charles Kahara Muchene to the Company's Board of Directors.

Ruth is a lawyer of over twenty-five years standing, having been admitted as an Advocate of the High Court of Kenya



Corporate Governance Report (continued)

in 1985. She holds a bachelors degree in law from University of Kent at Canterbury and a Master of Laws degree from University of Cambridge, both in the United Kingdom. Until recently, Ruth was the Area Legal Counsel, East and Central Africa for BAT. She doubled up as the Company Secretary, a role she continues to hold in a non-executive capacity.

Charles holds a Bachelor of Commerce degree from the University of Nairobi. He is a Fellow of the Institute of Certified Public Accountants of Kenya, and a member of other professional associations. He joined Price Waterhouse in 1979, and worked his way up through the grades to partnership in 1992. He was appointed Country Senior Partner for Kenya in 1998 on formation of PricewaterhouseCoopers, a position he held for 11 years.

In the Articles of Association, the appointments are only effective until the next Annual General Meeting, at which time the shareholders will be asked to approve the appointments. The appointments comply with the requirements of the Companies Act and the Capital Markets Act of the Republic of Kenya and the regulations of the Reserve Bank of the Republic of South Africa.

On appointment, an induction programme designed to meet the needs of each new director is implemented. The Company Secretary manages the induction programme. The Board's code of ethics is provided to new directors on their appointment.

Save for the Directors who retired at the last Annual General Meeting, no Directors have retired or resigned from the Board.

Directors are advised of new laws and regulations and changing risk to the organisation on an ongoing basis.

Going concern

The Board has reviewed the facts and assumptions, on which it relied and, based on these, will continue to view the Group as a going concern for the foreseeable future.

Remuneration

CfC Stanbic Holdings Limited has a clear policy on remuneration of executive and non-executive directors at levels that are fair and reasonable in a competitive market for the skills, knowledge, experience required, nature and size of the Board.

The amounts paid to directors are included in note 38 which represents the total remuneration paid to executive and non-executive directors for the year under review.

Social responsibility

As a Kenyan business, the Group understands the challenges and benefits of doing business in Kenya, and owes its existence to the people and societies within which it operates. The Group is committed therefore not only to the promotion of the economic development but also to the strengthening of civil society and human well-being.

The Group concentrates its social investment expenditure in defined focus areas in order to make the greatest impact. These areas of focus are subject to annual revision as the country's socio-economic needs change.

Board meetings

The Board meets at least once every quarter. Additional meetings are held whenever deemed necessary. Directors are provided with comprehensive board documentation at least seven days prior to each of the scheduled meetings.

Attendance at board meetings during the year under review is set out in the following table:

Directors' Attendance, 2010

Name	Apr	May	Aug	Aug	Nov
Mr Charles Njonjo	✓	n/a	n/a	n/a	n/a
Mr Fred N. Ojiambo	n/a	✓	✓	✓	✓
Mr Kitili Mbathi	✓	✓	✓	✓	✓
Mr Jeremiah G. Kiereini	✓	✓	✓	✓	✓
Mr Gayling R. May	✓	✓	✓	✓	✓
Ms Rose Kimotho	✓	✓	✓	✓	✓
Mrs Jane Babsa-Nzibo	n/a	✓	✓	✓	✓
Mr. Michael L du Toit	AP	n/a	n/a	n/a	n/a
Dr. Titus Naikuni	AP	n/a	n/a	n/a	n/a
Mr. Edward W. Njoroge	n/a	✓	✓	✓	AP
Mr Greg R. Brackenridge	✓	✓	✓	✓	✓

✓: Attended AP: Absent with Apology



Corporate Governance Report (continued)

Board committees

The Group is headed by a Board of Directors, which has ultimate responsibility for the management and strategic guidance and assumes the primary responsibility of fostering the sustainability of the Group's business. The Board has the overall responsibility for the establishment and oversight of the Group's risk management framework.

The Board monitors the agreed financial and corporate governance objectives for the following year. The performance against financial and corporate governance objectives is monitored by the Board through management's quarterly reporting. The implementation of the Group's strategic objectives is done at the individual subsidiary companies, through various established Board and management committees.

These committees include Board Credit Committee (BCC), Board Audit (BAC), Operational Risk committees and Asset and Liability (ALCO). All Board committees have both executive and non-executive members and report regularly to the Board of Directors on their activities.

The Board Audit Committee was reconstituted in August 2010. The Committee meets at least twice a year in accordance with the half-yearly financial reporting period adopted by the Group.

The members attended the meetings as shown below;

Directors' BAC attendance, 2010

Name	Mar	Aug
Mr Gayling R. May	✓	✓
Mr Kitili Mbathi	✓	✓
Mr Jeremiah G. Kiereini	✓	✓
Ms Rose Kimotho	✓	✓
Mr. Edward Njoroge	n/a	✓
Mrs Jane Babsa-Nzibo	n/a	✓



Sustainability Report

Introduction

Our business model focuses on both short term and long term sustainability objectives. Our sustainability objectives are aligned to stakeholders and the material issues that impact on our business, stakeholders and community we are operating in. The Group-wide material issues are:

- Liquidity and capital;
- Customer satisfaction;
- Regulation;
- Information technology systems;
- Infrastructure;
- People practices;
- HIV/AIDS;
- Supply chain management;
- Supporting communities; and
- Environment.

Our stakeholders

Shareholders

Enhanced shareholder value is a key component of building a sustainable business. The Group's business model is to drive higher sustainable revenue whilst embracing a strong risk management framework. In 2010, the Group's focus was to increase in shareholder value.

We seek to achieve appropriate balance between risk and reward in our business, and continue to build and enhance the risk management capabilities that assist in delivering our growth plans in a controlled environment.

Customers

Our objective is to ensure that customers enjoy their experience with us and build on a mutually beneficial and sustainable relationship. In order to create a sustainable business, we engage meaningfully with our customers in order to provide them with relevant products and services. The range of our products, services and solutions shall remain customer-centric.

Employees

The Group recognises that human capital is critical towards achieving both short and long term objectives.

Our commitment is creating a compelling employee value proposition for long-term sustainability. This is dependent on meeting employees' expectations through fair employment policies, career development as well as wellness and lifestyle support. Staff development plans, training, leadership development programmes and employee wellness programmes are ingredients to this objective.

Regulators

Our entire business model is based on trust and integrity as perceived by our stakeholders. As such, our compliance with the regulatory framework and best practice is a pillar in the way we conduct our business.

As a financial services conglomerate, the regulations are both at Group wide and entity/subsidiary company level. The following regulators also monitor our compliance with legislation:

- Central Bank of Kenya;
- Insurance Regulatory Authority;
- Nairobi Stock Exchange;
- Capital Markets Authority;
- The South African Reserve Bank; and
- Kenya Revenue Authority, among others.

Supply chain management

Our procurement strategy focuses on developing appropriate strategies for each spend category and on deploying appropriate structures, processes and technologies to deliver these strategies. Our suppliers form an integral part of stakeholders.

Arms length relationship and continuous improvement in managing our supplier base remains a key objective.

Environmental friendliness

Under the Equator Principles approved by the Standard Bank Group's Board of Directors in December 2008, projects financed by the Bank are required to be socially responsible and reflect sound environmental management practices.



Sustainability Report (continued)

As a signatory to the Principles, we are bound to ensure that the customers to whom we offer our products, evaluate and actively avoid, manage or mitigate the social and environmental impacts of the projects for which they require financing. This is an important statement about our commitment to sustainable banking and adding value to our clients. This puts us in a unique position to bring tangible benefits to various stakeholders, through a consistent approach to environmental and social management.

Our adoption of these Principles is recognition of our role as a responsible lender looking towards a sustainable future.

Community

In 2010, the Group continued to dedicate a part of its earnings to assisting the community through various programmes and projects. The Group carries on corporate social initiatives activities through its subsidiary companies.

Below are some of the key initiatives undertaken during the year:

- **Kijani Kenya Trust**

The Kijani Festival brings out artists from London and Germany and combines with local artists to do performances in Nairobi, Mombasa and Nanyuki. The Group sponsored this event which supports a number of homes throughout the country taking care of children who have HIV/AIDS.

- **The Great Turkwel Peace Race**

The annual Great Turkwel Peace Race and Cultural Beauty Show is a peace resolution effort spearheaded by the Tegla Lorupe Foundation. Turkwel, in north western Kenya, has been at the centre of protracted inter-communal conflicts between the Pokot and Turkana communities. The 10km race through the spectacular Turkwel Gorge aims to build peace by creating a forum for different communities in the region to interact. The Group sponsored members of staff to participate in this noble initiative.

- **Huruma Health Centre**

The Pope John II Huruma Health Centre is a charitable institution in Nanyuki. The health centre serves the destitute in the town most of whom suffer from terminal illnesses with HIV/AIDs and cancer patients forming the majority. In light of the town's teething water supply problems, the Group undertook the purchase and the installation of a water tank for the Health Centre.

- **Kenya Community Centre for Learning (KCCL)**

Learning Disorder (LD) as it is commonly known is a condition that affects the brain's ability to receive and process information. In Kenya, more than 750,000 children and youth suffer from LD.

To create awareness for this cause, the Kenya Community Centre for Learning (KCCL) kicked off a three year campaign that started with a 10km run/walk on October 16th 2010.

The Group through CfC Stanbic Bank participated in the inaugural walk as the lead sponsor in a bid to give the children a decent start to life.

- **Palm House Foundation**

The Foundation was set up to help underprivileged students who perform exceptionally well at Standard 8 level to get quality education at some of Kenya's top National secondary schools such as Alliance Girls, Kenya High School and Nairobi School. The Group sponsored 4 students in 2010. The sponsorship will cater for their entire secondary school education (4 years)

- **Westgate Adopt a Tree**

The Group participated in the Westgate Shopping Mall Christmas campaign called "Adopt the Tree". The campaign was put together to raise funds towards this cause.



Sustainability Report (continued)

- **Rabuor Self Help Group**

Rabuor Self Help Group in Kisumu was formed in 2009 with the main aim of encouraging the youth to engage in self sustaining activities like farming and small

scale business. Most of the youth in this area are orphans having been affected by the high scourge of HIV AIDs in this region. The Group undertook to help in the construction of a septic tank for the group's slaughterhouse which is a key income generating avenue for the youth in the area.

- **Annual Mater Heart Run**

The Mater Heart Run is an annual event that seeks to raise funds for needy children to undergo complicated heart surgery. As part of its community service plan to improve health levels in the society, the Group sponsored this event that involved members of staff taking part in the run.

- **Community engagement programmes – education sector**

As part of its "Corporate Social Investment" initiatives, the Group has been offering scholarships to children of staff, agents and policy holders who register the best performance in the Kenya Certificate of Primary Education (KCPE) examination. This is a program that has been in place for more than ten years and grants Shs10,000 per year to each student for the four years of secondary school education. The total number of students who have benefited from the program to date is fifty six and more students will be enrolled into the program, starting March 2011.

The Group has supported various schools through donations of necessary items such as books, computers, furniture and equipment.

- **The CfC Life-Ladies Club**

The CfC Life-Ladies Club is a non-profit making venture involved in charity work to help less fortunate members of our society. Membership is drawn from CfC Life staff and agents. The clubs activities are mainly sponsored by the CfC Life Assurance Limited, but donations from the general public and income generating activities

conducted by members supplement the kitty.

The CfC Life-Ladies Club has been instrumental in directly shaping the lives of young Kenyans thereby making a difference in Kenyan society. The activities include payment of fees and mentoring youth. In 2010, the Club sponsored 12 students in secondary schools across Kenya.

In addition to providing school fees for selected needy students, the Club also supports a number of childrens homes - Rescue Dada, St. Francis Childrens home in Karen and Joy Valley Childrens Home in Kayole.

Focus areas for social investment in 2011

The main focus areas for social relevance in 2011 are:

- Education - supporting learning initiatives addressing science, maths and accounting deficiencies from primary through to higher learning institutions.
- Entrepreneurship and Enterprise Development through provision of training in entrepreneurship and mentorship programmes.
- Community Health and Wellness- Investment directed towards HIV/AIDS, tuberculosis (TB) and malaria.



Directors' Report

The directors submit their report together with the audited financial statements for the year ended 31 December 2010, which disclose the state of affairs of the Group and the Company.

1. Principal activities

The Group is engaged in the business of banking, insurance, wealth management and stock broking.

2. Results and dividends

The comprehensive income for the year was Shs 3,692,066,000 (2009: Shs 1,054,497,000) as shown below.

	2010 Shs '000	2009 Shs '000
Profit before taxation	2,630,825	709,301
Taxation	(843,457)	(673,373)
Net profit	1,787,368	35,928
Other comprehensive income for the year net of tax	1,904,698	1,018,569
Total comprehensive income for the year	3,692,066	1,054,497

The Directors have resolved to recommend a final dividend of Shs. 220,220,372 (Shs 0.804 per share) at the Annual General Meeting, to be held on 25 May 2011. The dividend which is subject to withholding tax will be paid on or after 25 May 2011 to the shareholders on the Register of Members as at the close of business on 19 May 2011, the Books Closure Date.

3. Share capital

The total number of shares as at 31 December 2010 was 273,684,211 (2009: 273,684,211), ordinary shares of Shs 5 each. The details of share capital are set out in note 30.

4. Directors

The directors who held office during the year and to the date of this report were:

F.N Ojiambo SC	(Appointed: 21 May 2010)
K Mbathi	(Appointed: 31 May 2008)
J G Kiereini	(Appointed: 1 December 1995)
J Babsa-Nzibo	(Appointed: 21 May 2010)
G R May**	(Appointed: 22 August 2008)
R Kimotho	(Appointed: 31 May 2008)
G R Brackenridge*	(Appointed: 21 May 2010)
E W Njoroge	(Appointed: 21 May 2010)
M L du Toit*	(Retired: 21 May 2010)
C M Njonjo	(Retired: 21 May 2010)
T T Naikuni	(Retired: 21 May 2010)
R T Ngobi	(Appointed: 01 February 2011)
C K Muchene	(Appointed: 01 February 2011)
* - South African	** - British

5. Auditor

PricewaterhouseCoopers has indicated its willingness to continue in office in accordance with Section 159(2) of the Kenyan Companies Act (Cap. 486).

6. Approval of financial statements

The financial statements were approved at a meeting of the Directors held on 18 March 2011.

BY ORDER OF THE BOARD

Mugambi Nandi, SECRETARY, 18 March 2011



Statement of Directors' Responsibilities

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the group and of the company as at the end of the financial year and of the group's profit or loss. It also requires the directors to ensure that the group keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the group and company. They are also responsible for safeguarding the assets of the group.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable estimates, in conformity with International Financial Reporting Standards and the requirements of the Kenyan Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and of the company and of the group's profit or loss in accordance with International Financial Reporting Standards. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement.

Nothing has come to the attention of the directors to indicate that the company and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

Fred N Ojiambo, SC
Chairman

K. Mbathi
Managing Director

18 March 2011



Financial highlights - six year review

	2005 Shs '000	2006 Shs '000	2007 Shs '000	2008 Shs '000	2009 Shs '000	2010 Shs '000
Assets						
Cash and balances with CBK	1,389,193	1,581,064	1,971,627	6,289,827	4,606,140	5,444,892
Government and other securities	11,710,767	13,676,839	13,164,589	20,194,094	29,727,224	21,998,217
Total loans and advances	14,370,227	16,532,720	18,926,529	65,210,086	70,922,412	75,224,630
Loans and advances to banks	2,708,513	1,479,696	2,224,009	20,548,781	25,081,964	16,239,669
Loans and advances to customers	11,661,714	15,053,024	16,702,520	44,661,305	45,840,448	58,984,961
Current income tax recoverable	117,710	141,210	-	351,222	166,882	158,846
Deferred income tax asset	-	-	147,614	280,722	11,424	-
Other assets	3,029,567	5,367,144	5,322,235	3,823,885	5,961,542	1,475,623
Intangible assets - goodwill	1,084,647	1,084,647	1,084,647	10,434,405	10,434,405	10,434,405
Interest in associated companies	109,533	108,889	172,191	236,770	337,675	100,111
Other intangible assets	16,505	197,104	483,577	1,610,735	2,074,927	1,726,053
Property and equipment	958,111	1,266,966	1,495,241	2,296,530	2,962,665	1,911,102
Prepaid operating lease rentals	31,953	31,579	75,702	34,023	73,654	71,622
Investment properties	293,981	380,500	418,829	366,500	412,000	-
Assets classified as held for distribution	-	-	-	-	-	21,534,701
Total assets	33,112,194	40,368,662	43,262,781	111,128,799	127,690,950	140,080,202
Equity and Liabilities						
Equity	3,976,458	5,610,317	6,012,969	19,247,973	20,341,602	24,768,615
Liabilities						
Total Deposits 1	7,588,785	20,846,309	22,070,935	73,071,678	82,534,005	85,694,598
Deposits from banks	2,794,743	2,917,882	1,972,975	11,096,605	21,059,626	14,269,483
Deposits from customers	14,794,042	17,928,427	20,097,960	61,975,073	61,474,379	71,425,115
Current taxation	58,589	119,419	32,065	257,033	-	246,827
Other liabilities	11,362,445	13,655,607	14,338,048	16,359,850	19,493,754	3,118,581
Derivative liabilities	-	-	-	55,383	16,228	-
Trading liabilities	-	-	-	-	-	729,153
Borrowings	-	-	693,842	2,080,161	5,256,618	7,066,362
Deferred taxation	125,917	137,010	114,922	56,721	48,743	200,443
Liabilities directly associated with assets classified as held for distribution	-	-	-	-	-	18,255,623
Total equity and liabilities	33,112,194	40,368,662	43,262,781	111,128,799	127,690,950	140,080,202

Figures included in the six year review have been restated where necessary to provide a meaningful comparison of performance over the period.



Financial highlights - six year review (continued)

	2005 Shs '000	2006 Shs '000	2007 Shs '000	2008 Shs '000	2009 Shs '000	2010 Shs '000
Interest income	2,401,525	3,025,201	3,599,308	5,804,824	7,096,328	6,788,056
Interest expense	(881,876)	(1,009,394)	(1,331,113)	(2,087,294)	(2,443,813)	(1,980,108)
Non-interest revenue (NIR)	3,343,829	4,661,191	2,374,590	3,345,908	4,153,031	7,085,415
Credit impairment charges	(91,264)	(171,966)	(318,103)	(859,959)	(599,149)	(521,441)
Operating expenditure	(3,935,838)	(5,159,589)	(3,009,287)	(4,952,288)	(7,579,334)	(8,840,905)
Profit/ (loss) in associates	29,503	21,469	37,524	71,165	82,238	99,808
Profit before tax	865,879	1,366,912	1,352,919	1,322,356	709,301	2,630,825
Income tax	(313,388)	(426,772)	(428,202)	(475,763)	(673,373)	(843,457)
Profit for the year	552,491	940,140	924,717	846,593	35,928	1,787,368
Selected ratios						
Return on equity %	9.85%	15.64%	4.80%	4.16%	0.18%	7.22%
Return on assets %	1.37%	2.17%	0.83%	0.66%	0.03%	1.28%
NIR to total income %	58.20%	60.64%	39.75%	36.56%	36.92%	51.07%
Cost to income ratio %	80.93%	77.27%	64.82%	70.11%	86.07%	74.33%

Figures included in the six year review have been restated where necessary to provide a meaningful comparison of performance over the period.

Report of The Independent Auditor to the members of CfC Stanbic Holdings Limited

Report on the consolidated financial statements

We have audited the accompanying consolidated financial statements of CfC Stanbic Holdings Limited (the company) and its subsidiaries (together, the group), as set out on pages 18 to 95. These financial statements comprise the consolidated statement of financial position at 31 December 2010 and the consolidated statement of comprehensive income, Statement of changes in equity and the consolidated statement of cash flows for the year then ended, together with the statement of financial position of the company standing alone as at 31 December 2010 and the statement of comprehensive income and changes in equity of the company for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards and with the requirements of the Kenyan Companies Act and for such internal control, as the directors determine necessary to enable the preparation of consolidated financial statements that are free from material misstatements, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the

financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion the accompanying financial statements give a true and fair view of the state of the financial affairs of the group and of the company at 31 December 2010 and of the profit and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

The Kenyan Companies Act requires that in carrying out our audit we consider and report to you on the following matters. We confirm that:

- we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- in our opinion proper books of account have been kept by the company, so far as appears from our examination of those books;
- the company's statement of financial position and income statement are in agreement with the books of account.



pwc
Certified Public Accountants
Nairobi
18 March 2011



Consolidated and Company Statement of Financial Position

		31 December 2010 Shs'000	Group 31 December 2009 Shs'000	31 December 2010 Shs'000	Company 31 December 2009 Shs'000
Assets					
Cash, banks and Central Bank of Kenya balances	1 9	5,444,892	4,606,140	859	2,228
Pledged assets	2 0	2,940,007	3,351,812	-	-
Derivative assets	3 1	29,508	-	-	-
Financial investments	2 1	19,058,210	26,375,412	-	-
Loans and advances	2 2	75,224,630	70,922,412	-	-
Loans and advances to banks		16,239,669	25,081,964	-	-
Loans and advances to customers		58,984,961	45,840,448	-	-
Balances due from group companies		-	-	243,009	275,586
Other assets	2 3	1,446,115	5,961,542	-	133,023
Investment in subsidiaries and associates	2 4	100,111	337,675	14,294,644	14,890,349
Property and equipment	2 5	1,911,102	2,962,665	5,138	7,721
Investment properties	2 6	-	412,000	-	-
Prepaid operating lease	2 7	71,622	73,654	-	-
Intangible assets - Goodwill	2 9	10,434,405	10,434,405	-	-
Other intangible assets	2 8	1,726,053	2,074,927	-	-
Current tax recoverable		158,846	166,882	140,031	140,031
Deferred income tax asset	3 5	-	11,424	-	-
Assets classified as held for distribution	4 2	21,534,701	-	661,505	-
Total assets		140,080,202	127,690,950	15,345,186	15,448,938
Equity and liabilities					
Equity		24,768,615	20,341,602	15,147,776	14,890,598
Equity attributable to company's equity holders		21,833,761	19,451,787	15,147,776	14,890,598
Ordinary share capital	3 0	1,368,421	1,368,421	1,368,421	1,368,421
Ordinary share premium	3 0	13,586,847	13,586,847	13,586,847	13,586,847
Revenue reserves		4,676,820	3,184,382	192,508	(64,670)
Other reserves	4 1	2,201,673	1,312,137	-	-
Non controlling interest		2,934,854	889,815	-	-
Total liabilities		115,311,587	107,349,348	197,410	558,340
Derivative liabilities	3 1	-	16,228	-	-
Trading liabilities	2 1	729,153	-	-	-
Deposits and current accounts	3 2	85,694,598	82,534,005	-	-
Deposits from banks		14,269,483	21,059,626	-	-
Deposits from customers		71,425,115	61,474,379	-	-
Borrowings	3 3	7,066,362	5,256,618	-	200,000
Other liabilities	3 4	3,118,581	19,493,754	18,914	33,908
Balances due to group companies		-	-	178,496	324,432
Current income tax payable		246,827	-	-	-
Deferred income tax liability	3 5	200,443	48,743	-	-
Liabilities directly associated with assets classified as held for distribution	4 2	18,255,623	-	-	-
Total equity and liabilities		140,080,202	127,690,950	15,345,186	15,448,938

The financial statements on pages 18 to 95 were approved for issue by the Board of Directors on 18 March 2011 and signed on its behalf by:

Fred N Ojiambo, SC
Chairman

Kitili Mbathi
Managing Director

Gayling R. May
Director

Mugambi Nandi
Secretary



Consolidated and Company Statement of Comprehensive Income

	Notes	31 Dec 2010 Shs'000	Group 31 Dec 2009 Shs'000	31 Dec 2010 Shs'000	Company 31 Dec 2009 Shs'000
Net interest income		4,807,948	4,652,515	-	(2,505)
Interest income	6	6,788,056	7,096,328	5,807	102,616
Interest expense	7	(1,980,108)	(2,443,813)	(5,807)	(105,121)
Non-interest revenue		5,967,766	3,046,903	301,034	-
Net fee and commission revenue		2,099,513	1,454,059	-	-
Fee and commission revenue	8	2,207,804	1,465,277	-	-
Fee and commission expense	9	(108,291)	(11,218)	-	-
Trading revenue	10	2,384,425	1,359,330	-	-
Other revenue	11	1,483,828	233,514	301,034	-
Income from associates	24	99,808	82,238	-	-
Insurance underwriting income	12	1,117,649	1,106,128	-	-
Total income		11,993,171	8,887,784	301,034	(2,505)
Credit impairment charges	13	(521,441)	(599,149)	-	-
Impairment on available-for-sale securities		(32,153)	(699,449)	-	-
Income after impairment charges		11,439,577	7,589,186	301,034	(2,505)
Operating expenses		(8,808,752)	(6,879,885)	(43,856)	(104,113)
Staff costs	14	(3,370,497)	(2,306,249)	(6,410)	(39,563)
Other operating expenses	15	(5,438,255)	(4,573,636)	(37,446)	(64,550)
Profit before taxation		2,630,825	709,301	257,178	(106,618)
Income tax expense	16	(843,457)	(673,373)	-	-
Profit for the year		1,787,368	35,928	257,178	(106,618)
Other comprehensive income for the year		1,904,698	1,018,569	-	-
Exchange differences on translation of foreign operations		(3,437)	6,049	-	-
Gains on fair valuation of available for sale financial assets		2,050,231	429,800	-	-
Deferred tax (charge) / credit on revaluation of AFS financial assets		(178,219)	(103,830)	-	-
Impairment loss on AFS equity securities charged through income statement		32,153	699,449	-	-
Gains /(Losses) on property revaluations		18,058	(1,937)	-	-
Other comprehensive expense		(14,088)	(10,962)	-	-
Total comprehensive income for the year		3,692,066	1,054,497	257,178	(106,618)
Profit attributable to :					
Equity holders of parent		1,604,773	(59,871)	257,178	(106,618)
Non controlling interest		182,595	95,799	-	-
		1,787,368	35,928	257,178	(106,618)
Total comprehensive income attributable to:					
Equity holders of parent		2,687,764	907,153	257,178	(106,618)
Non controlling interest		1,004,302	147,344	-	-
Total comprehensive income for the year		3,692,066	1,054,497	257,178	(106,618)
Earnings per share basic and diluted (Shs)	17	5.86	(0.22)	0.94	(0.39)



Consolidated Statement of Changes in Equity

Year ended	Share Capital	Share Premium	Capital Reserve	Statutory Reserve	Fair Value Reserve	Revaluation Reserve	Currency Translation Reserve	Share-based Payment Reserve	Revenue Reserve	Non controlling Interest	Total equity
31 December 2010	Note	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At start of year		1,368,421	13,586,847	273,371	358,706	393,751	301,732	(28,911)	13,488	3,184,382	889,815
Total comprehensive income for the year		-	-	-	149,421	1,202,884	12,318	(3,437)	-	1,326,578	1,004,302
Profit for the year		-	-	-	-	-	-	-	-	1,604,773	182,595
Other comprehensive income:											
Gains on revaluation of land and buildings		-	-	-	-	-	9,590	-	-	-	8,468
Transfer from statutory reserves		-	-	-	149,421	-	-	-	-	(275,467)	126,046
Available-for-sale financial assets		-	-	-	-	-	-	-	-	-	-
net of tax		-	-	-	-	1,202,884	-	-	-	-	701,281
Currency translation differences		-	-	-	-	-	-	(3,437)	-	-	-
Other comprehensive income for the year, net of tax		-	-	-	-	-	2,728	-	-	(2,728)	(14,088)
Total other comprehensive income		-	-	-	149,421	1,202,884	12,318	(3,437)	-	(278,195)	821,707
Total comprehensive income		-	-	-	149,421	1,202,884	12,318	(3,437)	-	(278,195)	1,904,698
Contribution and distributions to owners											
Special Dividend paid in 2010		-	-	-	-	-	-	-	-	(143,680)	(143,680)
Share based payment reserve	41	-	-	-	-	-	-	18,906	-	-	18,906
Share capital injection by non-controlling interests		-	-	-	-	-	-	-	-	-	859,721
Other effects of group restructuring		-	-	14,802	(261,798)	(61,971)	(181,589)	-	-	165,860	324,696
Total contributions by and distributions to owners		-	-	14,802	(261,798)	(61,971)	(181,589)	-	18,906	165,860	734,947
At year-end		1,368,421	13,586,847	288,173	246,329	1,534,664	132,461	(32,348)	32,394	4,676,820	2,934,854
											24,768,615



Consolidated Statement of Changes in Equity

	Share Capital	Share Premium	Capital Reserve	Statutory Reserve	Fair Value Reserve	Revaluation Reserve	Currency Translation Reserve	Share-based Payment Reserve	Revenue Reserve	Non controlling Interest	Total equity
Year ended 31 December 2009	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At start of year	1,368,421	13,586,847	273,371	576,802	(281,558)	303,669	(34,960)	-	2,738,554	716,827	19,247,973
Total comprehensive income for the year	-	-	-	(218,096)	675,309	(1,937)	6,049	-	445,828	147,344	1,054,497
Profit for the year	-	-	-	-	-	-	-	-	(59,871)	95,799	35,928
Other comprehensive income:											
Gains on revaluation of land and buildings	-	-	-	-	-	(1,937)	-	-	-	-	(1,937)
Surplus on disposal of Fund management division	-	-	-	-	-	-	-	-	14,686	-	14,686
Available-for-sale financial assets	-	-	-	-	944,227	-	-	-	-	81,143	1,025,370
net of tax	-	-	-	-	-	-	-	-	-	-	-
Currency translation differences	-	-	-	-	-	-	6,049	-	-	-	6,049
Other comprehensive income for the year, net of tax	-	-	-	(218,096)	(268,918)	-	-	-	491,013	(29,598)	(25,599)
Total other comprehensive income	-	-	-	(218,096)	675,309	(1,937)	6,049	-	505,699	51,545	1,018,569
Contribution and distributions to owners											
Dividend paid in 2009	-	-	-	-	-	-	-	-	-	25,644	25,644
Share based payment reserve	-	-	-	-	-	-	-	13,488	-	-	13,488
Total contributions by and distributions to owners	-	-	-	-	-	-	-	13,488	-	25,644	39,132
At end of year	1,368,421	13,586,847	273,371	358,706	393,751	301,732	(28,911)	13,488	3,184,382	889,815	20,341,602



Company Statement of Changes in Equity

	Share capital Shs'000	Share Premium Shs'000	Fair Value Reserve Shs'000	Statutory Reserve Shs'000	Revenue Reserve Shs'000	Total Shs'000
Year ended 31 December 2010						
At start of year	1,368,421	13,586,847	-	-	(64,670)	14,890,598
Total comprehensive income for the year	-	-	-	-	257,178	257,178
Profit or loss	-	-	-	-	257,178	257,178
Total other comprehensive income	-	-	-	-	-	-
Total contributions by and distributions to owners	-	-	-	-	-	-
At end of year	1,368,421	13,586,847	-	-	192,508	15,147,776

	Share capital Shs'000	Share Premium Shs'000	Fair Value Reserve Shs'000	Statutory Reserve Shs'000	Revenue Reserve Shs'000	Total Shs'000
Year ended 31 December 2009						
At start of year	1,368,421	13,586,847	-	-	41,948	14,997,216
Total comprehensive income for the year	-	-	-	-	(106,618)	(106,618)
Profit or loss	-	-	-	-	(106,618)	(106,618)
Total other comprehensive income	-	-	-	-	-	-
Total contributions by and distributions to owners	-	-	-	-	-	-
At end of year	1,368,421	13,586,847	-	-	(64,670)	14,890,598



Consolidated Statement of Cash Flows

	Note	31 December 2010 Shs '000	31 December 2009 Shs '000
Cash flows generated from operating activities	36 (a)	3,073,328	1,263,928
Income tax paid		(575,383)	(560,551)
Net cash generated from operating activities before changes in operating assets		2,497,945	703,377
Changes in operating assets and liabilities		(6,471,899)	(7,126,554)
Loans and advances to customers		(14,291,249)	(1,179,143)
Other assets		1,952,070	(2,137,657)
Cash ratio requirement		(396,102)	(211,701)
Financial investments		(5,683,420)	(6,222,614)
Customer deposits		10,679,889	(500,694)
Other liabilities		1,266,913	3,125,255
Net cash used in operating activities		(3,973,954)	(6,423,177)
Cash flow from investing activities		332,415	(1,750, 935)
Additions to property and equipment		(358,561)	(1,035,733)
Additions to intangible assets	28	(200,549)	(788,363)
Proceeds from the sale of equipment		5,234	8,990
Proceeds from sale of investment properties		-	35,500
Proceeds from sale of Fund management division		-	5,476
Dividend from associates	24	10,129	23,195
Investment in associates		(3,263)	-
Investment by minority shareholders		879,425	-
Cash flows from financing activities		2,166,064	3,150,813
Dividends paid to Non controlling shareholders		(143,680)	(25,644)
Proceeds from borrowing and shareholder loan		2,309,744	3,176,457
Currency translation differences		(8,654)	(16,048)
Net increase in cash and cash equivalents		(1,484,129)	(5,039,347)
Cash and cash equivalents at 1 January		10,088,244	15,127,591
Cash and cash equivalents at 31 December	36 (b)	8,604,115	10,088,244



Notes

1. General information

CfC Stanbic Holdings Limited is incorporated in Kenya under the Companies Act as a limited liability company, and is domiciled in Kenya. The address of its registered office is:

CfC Stanbic Centre
Chiromo Road
P O Box 72833
00200 Nairobi

The company's shares are listed on the Nairobi Stock Exchange.

2. Summary of significant accounting policies

The principal accounting policies adopted in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

a. Basis of preparation

The consolidated and company financial statements ('financial statements') are prepared in accordance with International Financial Reporting Standards (IFRS) and the Kenyan Companies Act. The preparation of financial statements in conformity with IFRS requires the use of estimates and assumptions. The areas involving a higher degree of judgement or complexity or where assumptions and estimates are significant to the financial statements, are disclosed in note 3.

The financial statements have been prepared on the historical cost basis except for the following material items in the statement of financial position:

- available-for-sale financial assets, financial assets and liabilities at fair value through profit or loss, investment property, liabilities for cash-settled share-based payment arrangements, interests in mutual funds, policyholder investment contract liabilities and third party financial liabilities arising on consolidation of mutual funds are measured at fair value; and
- policyholder insurance contract liabilities and related reinsurance assets are measured in terms of the Financial Soundness Valuation (FSV) basis.

Changes in accounting policies

The accounting policies are consistent with those adopted in the previous year, except for the following:

Amendments and interpretations effective in 2010 but not relevant

In 2010, the following new amendments to standards and interpretations became effective for the first time but have not had an impact on the company's financial statements:

IFRS 1: First-time Adoption of International Financial Reporting Standards - Additional exemptions for first-time adopters

IFRS 2 (amended): Share-based payment – Group cash-settled share-based payment transaction

IFRS2: Share-based Payment (part of Annual Improvement Project 2009) - Scope of IFRS 2 and revised IFRS 3

IFRS 3: Business combinations

IFRS 5: Non-current Assets Held for Sale and Discontinued Operations (part of Annual Improvement Project 2009) – Disclosures of non-current assets (or disposal groups) classified as held for sale or discontinued operations

IAS 27(revised): Consolidated and Separate Financial Statements

IAS 38: Intangible assets (part of Annual Improvement Project 2009)– Additional consequential amendments arising from revised IFRS 3

IAS 39: Financial Instruments: Recognition and Measurement (part of Annual Improvement Project 2009)

- (i) Treating loan prepayment penalties as closely related embedded derivatives
- (ii) Scope exemption for business combination contracts

IFRIC 9 & IAS 39: Reassessment of embedded derivatives & Financial Instruments: Recognition and Measurement

IFRIC 17: Distribution of non-cash assets to owners

IFRIC 18: Transfers of assets from customers



Notes (continued)

2. Summary of significant accounting policies (continued)

a. Basis of preparation (continued)

Standards, amendments and interpretations to existing standards that are not yet effective and have not been early-adopted by the entity

The following new standards, amendments to existing standards and interpretations have been issued and are mandatory for the Bank's accounting periods beginning on or after 1 January 2011 or later periods and are not expected to be relevant to the Bank, except for IFRS 9.

Standard/ Interpretation	Title	Applicable for financial years beginning on/after
IFRS 1 (amended)	First-time Adoption of International Financial Reporting – Limited exemption from comparative IFRS 7 disclosures for first-time adopters	1 July 2010
IFRS 9	Financial instruments part 1: Classification and measurement	1 January 2013
IAS 24 (amended)	Related party disclosures	1 January 2011
IAS 32 (amended)	Financial instruments: Presentation – Classification of rights issue	1 February 2010
IFRIC 14 (amended)	IAS 19 – The limit on a defined benefit asset, minimum funding requirement and their interaction	1 January 2011
IFRIC 19	Extinguishing Financial Liabilities with Equity Instruments	1 July 2010

The Directors have assessed the relevance of these amendments and interpretations with respect to the Bank's

operations and concluded that they will not have a significant impact on the Company's financial statements for 2011.

IFRS 9, Financial instruments part 1: Classification and measurements and part 2: Financial liabilities and Derecognition of financial instruments

IFRS 9, part 1 was issued in November 2009 and replaces those parts of IAS 39 relating to the classification and measurement of financial assets. Key features are as follows:

- Financial assets are required to be classified into two measurement categories: those to be measured subsequently at fair value, and those to be measured subsequently at amortised cost. The decision is to be made at initial recognition. The classification depends on the entity's business model for managing its financial instruments and the contractual cash flow characteristics of the instrument.
- An instrument is subsequently measured at amortised cost only if it is a debt instrument and both the objective of the entity's business model is to hold the asset to collect the contractual cash flows, and the asset's contractual cash flows represent only payments of principal and interest (that is, it has only 'basic loan features'). All other debt instruments are to be measured at fair value through profit or loss.
- All equity instruments are to be measured subsequently at fair value. Equity instruments that are held for trading will be measured at fair value through profit or loss. For all other equity investments, an irrevocable election can be made at initial recognition, to recognise unrealised and realised fair value gains and losses through other comprehensive income rather than profit or loss. There is to be no recycling of fair value gains and losses to profit or loss. This election may be made on an instrument-by-instrument basis. Dividends are to be presented in profit or loss, as long as they represent a return on investment.
- While adoption of IFRS 9 is mandatory from 1 January 2013, earlier adoption is permitted. The Bank is considering the implications of the Standard, the impact on the Bank and the timing of its adoption by the Bank.



Notes (continued)

2. Summary of significant accounting policies (continued)

a. Basis of preparation (continued)

- IFRS 9, part 2 was issued in October 2010 and includes guidance on financial liabilities and derecognition of financial instruments. The accounting and presentation of financial liabilities and for derecognising financial instruments has been relocated from IAS 39, „Financial instruments: Recognition and Measurements without change except for financial liabilities that are designated at fair value through profit or loss.
- Under the new standard, entities with financial liabilities at fair value through profit or loss recognise changes in the liability's credit risk directly in other comprehensive income. There is no subsequent recycling of the amounts in other comprehensive income to profit or loss, but accumulated gains or losses may be transferred within equity.

b. Basis of consolidation

The consolidated financial statements incorporate the financial statements of Cfc Stanbic Holdings Limited and its subsidiaries; Cfc Stanbic Bank Limited, Cfc Stanbic Financial Services Limited, Cfc Insurance Holdings Limited, Cfc Investments Limited, Heritage Insurance Company Limited (Kenya), Azali Limited, Heritage Insurance Company (T) Limited and Cfc Life Assurance Limited. The financial statements have been made up to 31 December.

Subsidiaries

The financial statements of subsidiaries are consolidated from the date on which the Group acquires control, up to the date that control ceases. For this purpose, subsidiaries are entities over which the Group, directly or indirectly, has the power to govern the financial and operating policies to obtain benefits from its activities. The existence and effect of potential voting rights that are currently exercisable or convertible are considered when assessing whether the Group controls another entity.

The purchase method of accounting is used to account for the acquisition of subsidiaries by the Group. The cost of an acquisition is measured as the sum of the fair value of the assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange. Acquisition related costs are expensed as incurred. Identifiable

assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date, irrespective of the extent of any minority interest. The excess of the consideration, the amount of any non controlling interest in the acquiree and the acquisition date fair value of the groups share of the identifiable net assets acquired is recorded as goodwill.

If the cost of the acquisition is less than the fair value of the net assets of the subsidiary acquired, the difference, referred to as negative goodwill, is recognised directly in profit or loss.

Intra-group transactions, balances and unrealised gains and losses within banking and investment management and life insurance activities are eliminated on consolidation.

Unrealised losses are eliminated in the same manner as unrealised gains, but only to the extent that there is no evidence of impairment.

Accounting policies of subsidiaries conform to the policies adopted by the Group. Investments in subsidiaries are accounted for at cost less impairment losses in the company financial statements. The carrying amounts of these investments are reviewed annually and impaired when necessary

Associates

Associates are those entities in which the Group has significance influence, but not control, over the financial and operating policies. Significant influence generally accompanies, but is not limited to, a shareholding of between 20% and 50% of the voting rights.

Investments in mutual funds over whose financial and operating policies the Group is able to exercise significant influence (including those in which the Group has between 20% and 50% economic interest) are also classified as associates.

Interest in associates is accounted for using the equity method and is measured in the consolidated statement of financial position at an amount that reflects the Group's share of the net assets of the associate (including goodwill). Equity accounting involves recognising the investment initially at cost, including goodwill, and subsequently adjusting the carrying value for the Group's



Notes (continued)

2. Summary of significant accounting policies (continued)

b. Basis of consolidation (continued)

share of the associates' income and expenses and other comprehensive income. Equity accounting of losses in associates is restricted to the interests in these entities, including unsecured receivables or other commitments, unless the Group has an obligation or has made payments on behalf of the associate.

Unrealised intra-Group profits are eliminated in determining the Group's share of equity accounted profits. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

Equity accounting is applied from the date on which the entity becomes an associate, up to the date on which it ceases to be an associate. The accounting policies of associates have been changed where necessary to ensure consistency with the policies of the Group.

Investment in associates is accounted for at cost less impairment losses in the company financial statements.

c. Foreign currency translations

Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (functional currency). The consolidated and company financial statements are presented in Kenya Shillings, which is the functional currency of CfC Stanbic Holdings Limited.

Consolidation of group entities

The results and financial position of all foreign operations that have a functional currency different from the Group's presentation currency are translated into the presentation currency as follows:

- assets and liabilities (including goodwill and fair value adjustments arising on acquisition) are translated at the closing rate on the reporting date;
- income and expenses are translated at average exchange rates for the year, to the extent that such average rates approximate actual rates; and
- all resulting foreign exchange differences are accounted for directly in a separate component of

other comprehensive income, being the foreign currency translation reserve.

On consolidation, exchange differences arising from the translation of the net investment in foreign entities are taken to shareholders' equity. When a foreign operation is sold, such exchange differences are recognised in the profit or loss as part of the gain or loss on sale.

Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing rate.

Transactions and balances

Foreign currency transactions are translated into the respective functional currencies of Group entities at exchange rates prevailing at the date of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year-end exchange rates are recognised in the income statement.

Translation differences on non-monetary financial assets and liabilities, such as equities held at fair value through profit or loss, are recognised in profit or loss as part of the fair value gain or loss. Translation differences on non-monetary financial assets, such as equities classified as available-for-sale financial assets, are included in the available-for-sale reserve in equity.

d. Cash and cash equivalents

Cash and cash equivalents disclosed in the statement of cash flows consist of cash and balances with central banks and other short term highly liquid investments with maturities of three months or less including investment securities with original maturities of 90 days or less and balances with other banks. Cash and cash equivalents exclude the cash reserve held with Central Bank of Kenya. Cash and balances with central bank comprise coins and bank notes and balances with central banks. Cash flows arising from operating funds are stated after excluding the impact of foreign currency translation differences on asset and liability classes.



Notes (continued)

2. Summary of significant accounting policies (continued)

e. Financial instruments

Financial instruments include all financial assets and liabilities held for liquidity, investment, trading or hedging purposes.

All financial instruments are initially recognised at fair value plus directly attributable transaction costs, except those carried at fair value through profit or loss where transaction costs are recognised immediately in profit or loss. Financial instruments are recognised (derecognised) on the date the Group commits to purchase (sell) the instruments (trade date accounting).

Subsequent to initial measurement, financial instruments are measured either at fair value or amortised cost, depending on their classification.

(i) Classification

Held-to-maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has both the positive intent and ability to hold to maturity. Were the Group to sell more than an insignificant amount of held-to-maturity assets, the entire category would be tainted and reclassified as available-for-sale assets with the difference between amortised cost and fair value being accounted for in other comprehensive income.

Held-to-maturity investments are carried at amortised cost, using the effective interest method, less any impairment losses.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market, other than those classified by the Group as at fair value through profit or loss or available-for-sale. This category includes purchased loans.

Loans and receivables are measured at amortised cost using the effective interest method, less any impairment losses. Origination transaction costs and origination fees received that are integral to the effective rate are capitalised to the value of the loan and amortised through interest income as part of the effective interest rate. The majority of the Group's advances are included in the loans

and receivables category.

Trading assets and liabilities

Trading assets and liabilities are either those financial assets and liabilities acquired or incurred principally for the purpose of selling or repurchasing in the near term, or those forming part of a portfolio of identified financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking. Derivatives are also categorised as held-for-trading, unless they are designated as hedging instruments.

Subsequent to initial recognition, the fair values are remeasured at each reporting date.

All gains and losses arising from changes in fair value are recognised in profit or loss as trading revenue under non-interest revenue.

Interest earned and dividends received on trading assets are included in trading revenue.

Financial assets and liabilities designated at fair value through profit or loss

The Group designates certain financial assets and liabilities, other than those held for trading, as at fair value through profit or loss when:

- this designation eliminates or significantly reduces an accounting mismatch that would otherwise arise. The designation significantly reduces measurement inconsistencies that would arise if the related derivatives were treated as held for trading and the underlying financial instruments were carried at amortised cost. This category also includes financial assets used to match investment contracts or insurance contract liabilities; or
- groups of financial assets, financial liabilities or both are managed, and their performance evaluated, on a fair value basis in accordance with a documented risk management or investment strategy, and reported to the Group's key management personnel on a fair value basis; or
- financial instruments contain one or more embedded derivatives that significantly modify the instruments' cash flows.



Notes (continued)

2. Summary of significant accounting policies (continued)

e. Financial instruments (continued)

The fair value designation is made on initial recognition and is irrevocable. Subsequent to initial recognition, the fair values are remeasured at each reporting date. Gains and losses arising from changes in fair value are recognised in interest income (expense) for all dated financial assets (financial liabilities) and in other revenue within non-interest revenue for all undated financial assets.

Available-for-sale

Financial assets classified by the Group as available-for-sale are generally strategic capital investments held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices, or non-derivative financial assets that are not designated as another category of financial assets.

Available-for-sale financial assets are subsequently measured at fair value. Unrealised gains or losses arising from changes in the fair value of available-for-sale financial assets are recognised directly in the available-for-sale reserve until the financial asset is derecognised or impaired. When dated (undated) available-for-sale financial assets are disposed of, the cumulative fair value adjustments in other comprehensive income are transferred to interest income (other revenue).

Interest income, calculated using the effective interest method, is recognised in profit or loss. Dividends received on available-for-sale instruments are recognised in profit or loss when the Group's right to receive payment has been established. Foreign exchange gains or losses on available-for-sale debt instruments are recognised in profit or loss.

(ii) Impairment of financial assets

The Group assesses at each reporting date whether there is objective evidence that a financial asset or Group of financial assets is impaired. A financial asset or Group of financial assets is impaired if objective evidence indicates that a loss event has occurred after the initial recognition of the asset and that loss event had a negative effect on the estimated future cash flows of the financial asset or Group of financial assets that can be estimated reliably.

Assets carried at amortised cost

The Group first assesses whether there is objective evidence of impairment individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. Retail loans and advances are considered non-performing when amounts are due and unpaid for three months.

Corporate loans are analysed on a case-by-case basis taking into account breaches of key loan conditions. The impairment of non-performing loans takes account of past loss experience adjusted for changes in economic conditions and the nature and level of risk exposure since the recording of the historic losses. The methodology and assumptions used for estimating future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

When a loan carried at amortised cost has been identified as impaired, the carrying amount of the loan is reduced to an amount equal to the present value of estimated future cash flows, including the recoverable amount of any collateral, discounted at the financial asset's original effective interest rate.

The carrying amount of the asset is reduced through the use of an allowance account and the loss is recognised as credit impairment in profit or loss.

If the Group determines that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, it includes the asset in a group of financial assets with similar credit risk characteristics and collectively assesses impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognised are not included in a collective assessment for impairment.

Impairment of performing loans is only recognised if there is objective evidence that a loss event has occurred after the initial recognition of the financial asset but before the reporting date.

In order to provide for latent losses in a portfolio of loans that have not yet been individually identified as impaired, a credit impairment for incurred but not reported losses is recognised based on historic loss patterns and estimated emergence periods. Loans are also impaired when adverse



Notes (continued)

2. Summary of significant accounting policies (continued)

e. Financial instruments (continued)

economic conditions develop after initial recognition, which may impact future cash flows.

Increases in loan impairments and any subsequent reversals thereof, or recoveries of amounts previously impaired, are reflected in profit or loss. Previously impaired advances are written off once all reasonable attempts at collection have been made and there is no realistic prospect of recovering outstanding amounts.

Any subsequent reductions in amounts previously impaired are reversed by adjusting the allowance account with the amount of the reversal recognised as a reduction in impairment for credit losses in profit or loss. Subsequent recoveries of previously written off advances are recognised in profit or loss.

Subsequent to impairment, the effects of discounting unwind over time are treated as interest income.

Impairment losses on financial assets measured at cost are not reversed.

Renegotiated loans

Loans that are either subject to collective impairment assessment or individually significant, and whose terms have been renegotiated are no longer considered to be past due but are reset to performing loan status. Loans whose terms have been renegotiated are subject to ongoing review to determine whether they are considered impaired or past due.

Available-for-sale financial assets

Available-for-sale financial assets are impaired if there is objective evidence of impairment, resulting from one or more loss events that occurred after initial recognition but before the reporting date, that have a negative impact on the future cash flows of the asset. In addition, an available-for-sale equity instrument is considered impaired if a significant or prolonged decline in the fair value of the instrument below its cost has occurred.

In that instance, the cumulative loss, measured as the difference between the acquisition price and the current

fair value, less any previously recognised impairment losses on that financial asset, is transferred from other comprehensive income to profit or loss.

If, in a subsequent period, the amount relating to an impairment loss decreases and the decrease can be linked objectively to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed through profit or loss for available-for-sale debt instruments. An impairment loss in respect of an available-for-sale equity instrument is not reversed through profit or loss but accounted for directly in other comprehensive income.

(iii) Offsetting financial instruments

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to set-off the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

Income and expenses are presented on a net basis only when permitted by the accounting standards, or for gains and losses arising from a group of similar transactions.

(iv) Derecognition of financial instruments

Financial assets are derecognised when the contractual rights to receive cash flows from the financial assets have expired, or where the Group has transferred its contractual rights to receive cash flows on the financial asset such that it has transferred substantially all the risks and rewards of ownership of the financial asset. Any interest in transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability.

Financial liabilities are derecognised when they are extinguished, i.e. when the obligation is discharged, cancelled or expires.

The Group enters into transactions whereby it transfers assets recognised in its statement of financial position, but retains either all or a portion of the risks or rewards of the transferred assets. If all or substantially all risks and rewards are retained, then the transferred assets are not derecognised.



Notes (continued)

2. Summary of significant accounting policies (continued)

e. Financial instruments (continued)

Transfers of assets with retention of all or substantially all risks and rewards include securities lending and repurchase agreements.

When assets are sold to a third party with a concurrent total rate of return swap on the transferred assets, the transaction is accounted for as a secured financing transaction, similar to repurchase transactions.

In transactions where the Group neither retains nor transfers substantially all the risks and rewards of ownership of a financial asset, it derecognises the asset if control over the asset is lost.

The rights and obligations retained in the transfer are recognised separately as assets and liabilities as appropriate. In transfers where control over the asset is

retained, the Group continues to recognise the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

f. Financial guarantee contracts

A financial guarantee contract is a contract that requires the Group (issuer) to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payment when due in accordance with the original or modified terms of a debt instrument.

Financial guarantee liabilities are initially recognised at fair value, which is generally equal to the premium received, and then amortised over the life of the financial guarantee. Subsequent to initial recognition, the financial guarantee liability is measured at the higher of the present value of any expected payment, when a payment under the guarantee has become probable, and the unamortised premium.

g. Sale and repurchase agreements and lending of securities

Securities sold subject to linked repurchase agreements are reclassified in the statement of financial position

as pledged assets when the transferee has the right by contract or custom to sell or repledge the collateral. The liability to the counterparty is included under deposit and current accounts.

Securities purchased under agreements to resell are recorded as loans granted under resale agreements and included under loans and advances to other banks or customers, as appropriate. The difference between the sale and repurchase price is treated as interest and amortised over the life of the repurchase agreement using the effective interest method.

Securities lent to counterparties are retained in the financial statements and are classified and measured in accordance with the measurement policy above. Securities borrowed are not recognised in the financial statements unless sold to third parties. In these cases, the obligation to return the securities borrowed is recorded at fair value as a trading liability.

Income and expenses arising from the securities borrowing and lending business are recognised on an accrual basis over the period of the transactions.

h. Investment property

Property held to earn rental income and/or for capital appreciation that is not owner-occupied is classified as investment property. Investment property includes property under construction or development for future use as investment property.

Investment property is measured initially at cost, including transaction costs. Subsequent to initial recognition, investment property is measured at fair value with fair value changes recognised in profit or loss as investment gains or losses.

The fair value of investment property is based on valuation information at the reporting date. If the valuation information cannot be reliably determined, the Group uses alternative valuation methods such as discounted cash flow projections or recent prices on active markets.

Fair value adjustments on investment property recognised in profit or loss are adjusted for any double-counting arising from the recognition of lease income on the straight-line basis compared to the accrual basis normally assumed in the fair value determination.



Notes (continued)

2. Summary of significant accounting policies (continued)

h. Investment property (continued)

When the use of a property changes such that it is reclassified as property and equipment, its fair value at the date of reclassification becomes its cost for subsequent accounting.

i. Intangible assets

Goodwill

Goodwill represents the excess of the cost of an acquisition over the Group's interest in the net fair value Summary of the identifiable assets, liabilities and contingent liabilities of the acquired subsidiary or associate at the date of acquisition. Acquisition costs include any directly attributable transaction costs.

Goodwill arising on the acquisition of subsidiaries occurring on or after 1 January 2000 is reported in the statement of financial position as an intangible asset, and goodwill arising on the acquisition of associates is included in interest in associates in the statement of financial position. Goodwill arising on acquisitions on or after 1 January 2000 but before or on 31 December 2003 has been amortised using the straight-line method over its estimated useful life and is carried at cost less accumulated amortisation and impairment recognised up to 31 December 2003.

Goodwill arising on acquisitions after 31 December 2003 and the carrying values of goodwill that existed on this date are not amortised, but allocated to cash-generating units and tested annually for impairment. Negative goodwill is recognized as income in profit or loss in the period in which it arises. Gains or losses on the disposal of an entity are determined after taking into account the carrying amount of goodwill (if any) relating to the entity sold.

Computer software

Generally, costs associated with developing or maintaining computer software programmes and the acquisition of software licenses are recognised as an expense as incurred. However, direct computer software development costs that are clearly associated with an identifiable and unique system, which will be controlled by the Group and have a probable future economic benefit beyond one year, are recognised as intangible assets.

Capitalisation is further limited to development costs where the Group is able to demonstrate its intention and ability to complete and use the software, the technical feasibility of the development, the availability of resources to complete the development, how the development will generate probable future economic benefits and the ability to reliably measure costs relating to the development.

Direct costs include software development employee costs and an appropriate portion of relevant overheads. Subsequent expenditure on computer software is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. Direct computer software development costs recognised as intangible assets are amortised on the straight-line basis at rates appropriate to the expected useful lives of the assets (two to 10 years), and are carried at cost less accumulated amortisation and accumulated impairment losses. The carrying amount of capitalised computer software is reviewed annually and is written down when impaired.

Other intangible assets

The Group recognises the costs incurred on internally generated intangible assets such as brands, customer lists, customer contracts and similar rights and assets, in profit or loss as incurred. Prepayment assets are recognised for advertising or promotional expenditure until the Group has obtained the right to access the goods purchased or received the services.

The Group capitalises brands, customer lists, customer contracts and similar rights acquired in business combinations.

Capitalised intangible assets are measured at cost less accumulated amortisation and accumulated impairment losses. Amortisation is recognised in profit or loss on a straight-line basis over the estimated useful lives of intangible assets, not exceeding 20 years, from the date that they are available for use.

Amortisation methods, useful lives and residual values are reviewed at each financial year-end and adjusted, if necessary. There have been no changes in the estimated useful lives from those applied in the previous financial year.



Notes (continued)

2. Summary of significant accounting policies (continued)

j. Property and equipment

Equipment and owner-occupied properties

All categories of property and equipment are initially recorded at cost. Buildings and freehold land are subsequently shown at fair value, based on periodic, but at least triennial, valuations by external independent valuers, less subsequent depreciation for buildings. All other equipment, furniture, vehicles and other tangible assets are measured at cost less accumulated depreciation and accumulated impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the asset.

Subsequent costs are included in the asset's carrying amount or are recognised as a separate asset, as appropriate, only when it is probable that future economic benefits will flow to the Group and the cost of the item can be measured reliably. Maintenance and repairs, which do not meet these criteria, are recognised in profit or loss as incurred. Depreciation, impairment losses and gains or losses on disposal of assets are included in profit or loss.

Owner-occupied properties are held for use in the supply of services or for administrative purposes.

Property and equipment are depreciated on the straight-line basis over the estimated useful lives of the assets to their residual values. Land is not depreciated.

Leasehold buildings are depreciated over the period of the lease or over a lesser period, as is considered appropriate.

The assets' residual values and useful lives and the depreciation method applied are reviewed, and adjusted if appropriate, at each financial year-end.

The estimated useful lives of tangible assets for the current financial year are as follows:

Leasehold buildings	The shorter of the lease period or 50 years
Furniture & fittings	5 - 13 years
Motor vehicles	4 - 5 years
Computer and other computer equipment	3 - 5 years
Office equipment	3 - 13 years

Capitalised leased assets – over the shorter of the lease term or its useful life.

There has been no change to the estimated useful lives from those applied in the previous financial year.

k. Impairment of non-financial assets

Intangible assets that have an indefinite useful life and goodwill are tested annually for impairment. Intangible assets that are subject to amortisation and other non-financial assets are reviewed for impairment at each reporting date and tested for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable.

An impairment loss is recognised in profit or loss for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. Fair value less costs to sell is determined by ascertaining the current market value of an asset and deducting any costs related to the realisation of the asset.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purposes of assessing impairment, assets that cannot be tested individually are grouped at the lowest levels for which there are separately identifiable cash inflows from continuing use (cash-generating units). Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units, and then to reduce the carrying amounts of the other assets in the unit on a pro rata basis.

An impairment loss in respect of goodwill is not reversed. In respect of other non-financial assets, impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed through profit or loss only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.



Notes (continued)

Summary of significant accounting policies (continued)

I. Leases

Group as lessee

Leases, where the Group assumes substantially all the risks and rewards of ownership, are classified as finance leases. Finance leases are capitalised at the inception of the lease at the lower of the fair value of the leased asset and the

present value of the minimum lease payments. Lease payments are separated using the interest rate implicit in the lease to identify the finance cost, which is recognised in profit or loss over the lease period, and the capital repayment, which reduces the liability to the lessor.

Leases of assets are classified as operating leases if the lessor retains a significant portion of the risks and rewards of ownership. Payments made under operating leases, net of any incentives received from the lessor, are recognised in profit or loss on a straight-line basis over the term of the lease. When an operating lease is terminated before the lease period has expired, any payment required to be made to the lessor by way of penalty is recognised as an expense in the period in which termination takes place.

Group as lessor

Lease and instalment sale contracts are primarily financing transactions in banking activities, with rentals and instalments receivable, less unearned finance charges, being included in loans and advances in the statement of financial position.

Finance charges earned are computed using the effective interest method, which reflects a constant periodic rate of return on the investment in the finance lease. Initial direct costs and fees are capitalised to the value of the lease receivable and accounted for over the lease term as an adjustment to the effective rate of return. The benefits arising from investment allowances on assets leased to clients are accounted for in tax.

Leases of assets under which the Group retains a significant portion of the risks and rewards of ownership are classified as operating leases. Operating lease income from properties held as investment properties, net of any incentives given to lessees, is recognised on the straight-line basis over the lease term.

When an operating lease is terminated before the lease

period has expired, any payment required by the lessee by way of a penalty is recognised as income in the period in which termination takes place.

m. Provisions and contingent liabilities

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made. Provisions are determined by discounting the expected future cash flows using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the liability.

A provision for restructuring is recognised when the Group has approved a detailed formal plan, and the restructuring either has commenced or has been announced publicly. Future operating costs or losses are not provided for.

A provision for onerous contracts is recognised when the expected benefits to be derived by the Group from a contract are lower than the unavoidable cost of meeting its obligations under the contract.

The provision is measured at the present value of the lower of the expected cost of terminating the contract and the expected net cost of continuing with the contract. Before a provision is established, the Group recognises any impairment loss on the assets associated with that contract.

Contingent liabilities include certain guarantees, other than financial guarantees, and letters of credit pledged as collateral security. Contingent liabilities are not recognised in the financial statements but are disclosed in the notes to the financial statements unless they are remote.

n. Employee benefits

(i) Defined contribution plan

The majority of the Group's employees are eligible for retirement benefits under a defined contribution plan. The Group and all its employees also contribute to the National Social Security Fund, which is a defined contribution scheme. A defined contribution plan is a



Notes (continued)

Summary of significant accounting policies (continued)

n. Employee benefits (continued)

retirement benefit plan under which the Group pays fixed contributions into a separate entity.

The Group has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

The assets of all schemes are held in separate trustee administered funds, which are funded by contributions from both the Group and employees. The Group's contributions to the defined contribution schemes are charged to the profit and loss account in the year in which they fall due.

(ii) Defined benefit plan

The Group operates a defined benefit fund, with membership generally limited to employees who were in the employment at specified dates.

The liability recognised in the balance sheet in respect of the defined benefit plan is the present value of the defined benefit obligation at the balance sheet date less the fair value of plan assets, together with adjustments for unrecognised actuarial gains or losses and past service costs. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of government securities that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension liability.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions in excess of the greater of 10% of the value of plan assets or 10% of the defined benefit obligation are charged or credited to income over the employees' expected average remaining working lives. Past-service costs, experience adjustments and the effect of changes in actuarial assumptions are recognised as expenses or income in the current year to the extent that they relate to retired employees or past service.

The assets of the plan are held in a separate trustee administered fund. The amount recognised in the balance

sheet represents the present value of the defined benefit obligation as adjusted for unrecognised actuarial gains and losses and unrecognised past service cost, and reduced by the fair value of plan assets.

(iii) Short-term benefits

Short-term benefits consist of salaries, accumulated leave payments, profit share, bonuses and any non-monetary benefits such as medical aid contributions.

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A liability is recognised for the amount expected to be paid under short-term cash bonus plans or accumulated leave if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

o. Tax

Direct taxation includes current and deferred tax. Current tax and deferred tax are recognised in profit or loss except to the extent that it relates to a business combination, or items recognised directly in equity or in other comprehensive income.

Current tax represents the expected tax payable on taxable income for the year, using tax rates enacted or substantively enacted at the reporting date, and any adjustments to tax payable in respect of previous years.

Deferred tax is recognised in respect of temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted at the reporting date. Deferred tax is not recognised for the following temporary differences:

- the initial recognition of goodwill;
- the initial recognition of assets and liabilities in a transaction that is not a business combination, which affects neither accounting nor taxable profits or losses; and

investments in subsidiaries and jointly controlled entities (excluding mutual funds) where the Group controls the timing of the reversal of temporary



Notes (continued)

Summary of significant accounting policies (continued)

o. Tax (continued)

- differences and it is probable that these differences will not reverse in the foreseeable future.

The amount of deferred tax provided is based on the expected Tax manner of realisation or settlement of the carrying amount of the asset or liability and is not discounted.

Deferred tax assets are recognised to the extent that it is probable that future taxable income will be available against which the unused tax losses can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

p. Non-current assets held for sale and disposal groups

Non-current assets, or disposal groups comprising assets and liabilities that are expected to be recovered primarily through sale rather than continuing use, are classified as held for sale.

Non-current assets held as investments for the benefit of policyholders as part of the Group's investment management and life insurance activities are not classified as held for sale as ongoing investment management implies regular purchases and sales in the ordinary course of business. Immediately before classification as held for sale, the assets (or components of a disposal group) are remeasured in accordance with the Group's accounting policies.

Thereafter, the assets (or components of a disposal group) are measured at the lower of their carrying amount and fair value less costs to sell. Impairment losses on initial classification as held for sale and subsequent gains or losses on remeasurement are recognised in profit or loss.

Investment contracts are those contracts that transfer financial risk with no significant insurance risk. The

accounting policy for these contracts is described under note 2(f) to the financial statements.

q. Revenue and expenditure

Banking activities

Revenue is derived substantially from the business of banking and related activities and comprises interest income, fee and commission revenue and other non-interest revenue.

Net interest income

Interest income and expense (with the exception of those borrowing costs that are capitalized), are recognised in the income statement on an accrual basis using the effective interest method for all interest-bearing financial instruments, except for those classified at fair value through profit or loss. In terms of the effective interest method, interest is recognised at a rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, where appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability.

Direct incremental transaction costs incurred and origination fees received, including loan commitment fees, as a result of bringing margin-yielding assets or liabilities into the statement of financial position, are capitalised to the carrying amount of financial instruments that are not at fair value through profit or loss and amortised as interest income or expense over the life of the asset or liability as part of the effective interest rate.

Where the estimates or receipts on financial assets (except those that have been reclassified) are subsequently revised, the carrying amount of the financial asset is adjusted to reflect actual and revised estimated cash flows. The carrying amount is calculated by computing the present value of the estimated cash flows at the financial asset's original effective interest rate. Any adjustment to the carrying value is recognised in interest income.

Where financial assets have been impaired, interest income continues to be recognised on the impaired value based on the original effective interest rate.

Gains and losses on the disposal of dated financial instruments, including amounts removed from other comprehensive income in respect of available-for-sale financial assets, and excluding those classified as held for trading, are included in other revenue.



Notes (continued)

Summary of significant accounting policies (continued)

q. Revenue & Expenditure (continued)

Non-interest revenue

Net fee and commission revenue

Fee and commission revenue, including transactional fees, account servicing fees, investment management fees, sales commission, placement fees and syndication fees are recognised as the related services are performed. Loan commitment fees for loans that are not expected to be drawn down are recognised on a straight-line basis over the commitment period.

Loan syndication fees, where the Group does not participate in the syndication or participates at the same effective interest rate for comparable risk as other participants, are recognised as revenue when the syndication has been completed. Syndication fees that do not meet these criteria are capitalised as origination fees and amortised as interest income.

The fair value of issued financial guarantee contracts on initial recognition is amortised as income over the term of the contract.

Fee and commission expense included in net fee and commission revenue are mainly transaction and service fees relating to financial instruments, which are expensed as the services are received.

Trading revenue

Trading revenue comprises all gains and losses from changes in the fair value of trading assets and liabilities, together with related interest income, expense and dividends.

Other revenue

Other revenue includes gains and losses on equity instruments designated at fair value through profit or loss, gains and losses on realised undated available-for-sale financial assets, dividends relating to those financial instruments and underwriting profit from the Group's short-term insurance operations and related insurance activities.

Net income from financial instruments designated at fair value includes all gains and losses from changes in the fair value of undated financial assets and liabilities designated

at fair value through profit or loss, including dividend income arising on these financial instruments.

Gains and losses on undated available-for-sale financial assets are transferred from other comprehensive income to profit or loss on realisation of the investments. Dividends on these instruments are recognised in profit or loss.

Gains and losses on all other undated financial instruments that are not held for trading, are recognised in other revenue.

Dividend income

Dividends are recognised in profit or loss when the right to receipt is established.

r. Classification of insurance contracts

Insurance contracts and investment contracts are classified into two main categories, depending on the duration of risk and as per the provisions of the Insurance Act.

Investment contracts are those contracts that transfer financial risk with no significant insurance risk.

Insurance contracts and investment contracts are classified into two main categories, depending on the duration of risk and as per the provisions of the Insurance Act.

Long term insurance business

Includes insurance business of all or any of the following classes; life assurance business, superannuation business, industrial life assurance business, bond investment business and business incidental to any such class of business.

Life assurance business means the business of, or in relation to, the issuing of, or the undertaking of liability to pay money on death (not being death by accident or in specified sickness only) or on the happening of any contingency dependent on the termination or continuance of human life (either with or without provision for a benefit under a continuous disability insurance contract), and include a contract which is subject to the payment of premiums for term dependent on the termination or continuance of human life and any contract securing the grant of an annuity for a term dependent upon human life; Superannuation business means life assurance business, being business of, or in relation to, the issuing of or the undertaking of liability under superannuation, group life and permanent health insurance policy.



Notes (continued)

Summary of significant accounting policies (continued)

r. Classification of Insurance Contracts (continued)

General insurance business

Means insurance business of any class or classes not being long term insurance business. Classes of General Insurance include personal accident insurance (including medical).

Personal accident insurance business means the business of affecting and carrying out contracts of insurance against risks of the persons insured sustaining injury as the result of an accident or of an accident of a specified class or dying as the result of an accident or of an accident of a specified class or becoming incapacitated in consequence of disease or of disease of a specified class.

Medical insurance means the business of affecting and carrying out contracts of insurance against costs of otherwise non-recoverable medical and surgical expenses necessarily and reasonably incurred by a member as a direct result of sustaining accidental bodily injury and/or illness and/or disease within the period of insurance subject to the policy provisions/ terms, exclusions and conditions.

In terms of IFRS 4 Insurance Contracts, insurance liabilities are measured under existing local practice at the date of adoption of IFRS 4.

s. Premium income

For long term insurance business, premiums are recognised as revenue when they become payable by the contract holder. Premiums are shown before deduction of commission.

For general insurance business, premium income is recognised on assumption of risks, and includes estimates of premiums due but not yet received, less an allowance for cancellations, and less unearned premium. Unearned premiums represent the proportion of the premiums written in periods up to the accounting date that relates to the unexpired terms of policies in force at the balance sheet date, and is computed using the 365ths method. Premiums are shown before deduction of commission and are gross of any taxes or duties levied on premiums.

t. Claims

For long term insurance business, benefits are recorded as an expense when they are incurred. Claims arising on maturing policies are recognised when the claim becomes due for payment. Death claims are accounted for on notification. Surrenders are accounted for on payment.

A liability for contractual benefits that are expected to be incurred in the future is recorded when the premiums are recognised. The liability is determined as the sum of the expected discounted value of the benefit payments and the future administration expenses that are directly related to the contract, less the expected discounted value of the theoretical premiums that would be required to meet the benefits and administration expenses based on the valuation assumptions used (the valuation premiums). The liability is based on assumptions as to mortality, persistency, maintenance expenses and investment income that are established at the time the contract is issued. A margin for adverse deviations is included in the assumptions.

Where insurance contracts have a single premium or a limited number of premium payments due over a significantly shorter period than the period during which benefits are provided, the excess of the premiums payable over the valuation premiums is deferred and recognised as income in line with the decrease of unexpired insurance risk of the contracts in-force or, for annuities in force, in line with the decrease of the amount of future benefits expected to be paid.

The liabilities are recalculated at each balance sheet date using the assumptions established at inception of the contracts.

For general insurance business, claims incurred comprise claims paid in the year and changes in the provision for outstanding claims. Claims paid represent all payments made during the year, whether arising from events during that or earlier years. Outstanding claims represent the estimated ultimate cost of settling all claims arising from incidents occurring prior to the balance sheet date, but not settled at that date. Outstanding claims are computed on the basis of the best information available at the time the records for the year are closed, and include provisions for claims incurred but not reported ("IBNR"). Outstanding claims are not discounted.



Notes (continued)

Summary of significant accounting policies (continued)

u. Commissions payable and deferred acquisition costs ("DAC")

Deferred acquisition costs represent the proportion of commission payable and other acquisition costs that relates to policies that are in force at the year end where the premium has not been earned. DAC is recognised as an asset is subsequently amortised over the life of the contracts as follows:

- for short term insurance business, DAC is amortised over the terms of the policies as premium is earned; and
- for long-term insurance contracts with fixed and guaranteed terms, DAC is amortised in line with premium revenue using assumptions consistent with those used in calculating future policy benefit liabilities.

v. Liability adequacy test

At each balance sheet date, liability adequacy tests are performed to ensure the adequacy of the contract liabilities net of related DAC. In performing these tests, current best estimates of future contractual cash flows and claims handling and administration expenses, as well as investment income from the assets backing such liabilities, are used. Any deficiency is immediately charged to profit or loss initially by writing off DAC and by subsequently establishing a provision for losses arising from liability adequacy tests (the unexpired risk provision).

Long-term insurance contracts are measured based on assumptions set out at the inception of the contract. When the liability adequacy test requires the adoption of new best estimate assumptions, such assumptions (without margins for adverse deviation) are used for the subsequent measurement of these liabilities.

w. Reinsurance contracts held

Contracts entered into by the Group with reinsurers under which the Group is compensated for losses on one or more contracts issued by the Group and that meet the classification requirements for insurance contracts are classified as reinsurance contracts held. Contracts that do not meet these classification requirements are classified as financial assets. Insurance contracts entered into by the Group under which the contract holder is another insurer (inwards reinsurance) are included with insurance contracts.

The benefits to which the Group is entitled under its reinsurance contracts held are recognised as reinsurance assets. These assets consist of short-term balances due from reinsurers, as well as longer term receivables that are dependent on the expected claims and benefits arising under the related reinsured insurance contracts. Amounts recoverable from or due to reinsurers are measured consistently with the amounts associated with the reinsured insurance contracts and in accordance with the terms of each reinsurance contract. Reinsurance liabilities are primarily premiums payable for reinsurance contracts and are recognised as an expense when due.

The Group assesses its reinsurance assets for impairment on a quarterly basis. If there is objective evidence that the reinsurance asset is impaired, the Group reduces the carrying amount of the reinsurance asset to its recoverable amount and recognises that impairment loss in the income statement. The Group gathers the objective evidence that a reinsurance asset is impaired using the same process adopted for financial assets held at amortised cost. The impairment loss is also calculated following the same method used for these financial assets.

x. Receivables and payables related to insurance contracts and investment contracts

Receivables and payables are recognised when due. These include amounts due to and from agents, brokers and insurance contract holders.

If there is objective evidence that the insurance receivable is impaired, the Group reduces the carrying amount of the insurance receivable accordingly and recognises that impairment loss in the income statement. The Group gathers the objective evidence that an insurance receivable is impaired using the same process adopted for loans and receivables. The impairment loss is also calculated under the same method used for these financial assets.

y. Reinsurance premiums

Reinsurance premiums are recognised when due for payment, in accordance with the terms of each reinsurance contract.



Notes (continued)

Summary of significant accounting policies (continued)

z. Acquisition costs

Acquisition costs for insurance contracts represent commission and other costs that relate to the securing of new contracts and the renewing of existing contracts. These costs are expensed as incurred.

aa. Deferred acquisition costs (DAC) in respect of investment contracts

Commissions paid and other incremental acquisition costs are incurred when new investment contracts are obtained or existing investment contracts are renewed. These costs are expensed as incurred, unless specifically attributable to an investment contract with an investment management service element. Such costs are deferred and amortised on a straight-line basis over the expected life of the contract (10 to 16 years for linked annuities and five years for other investment contracts), taking into account all decrements, as they represent the right to receive future management fees. A DAC asset is recognised for all applicable policies with the amortisation being calculated on a portfolio basis.

The DAC asset is assessed for impairment at the reporting date.

bb. Investment income

Investment income for investment management and life insurance activities comprises mainly rental income from properties, interest, hotel operations sales, scrip lending fees and dividends. Dividends are recognised when the right to receive payment is established and interest income is recognised using the effective interest method.

cc. Management fees on assets under management

Fee revenue includes management fees on assets under management and administration fees. Management fees on assets under management are recognised over the period for which the services are rendered, in accordance with the substance of the relevant agreements.

Administration fees received for the administration of medical schemes are recognised when the services are rendered.

dd. Provisions

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and a reliable estimate of the amount of the obligation can be made.

Employee entitlements to annual leave are recognised when they accrue to employees.

A provision is made for the estimated liability for annual leave and long-service leave as a result of services rendered by employees up to the balance sheet date.

ee. Share capital

Ordinary shares are classified as equity.

ff. Dividends on ordinary shares

Dividends are recognised in equity in the period in which they are declared. Dividends declared after the reporting date are disclosed in the dividends note

gg. Segment reporting

An operating segment is a component of the Group engaged in business activities, whose operating results are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance. The Group's identification of segments and the measurement of segment results is based on the Group's internal reporting to management. Transactions between segments are priced at market-related rates.

hh. Fiduciary activities

The Group commonly acts as trustees and in other fiduciary capacities that result in the holding or placing of assets on behalf of individuals, trusts, post-employment benefit plans and other institutions. These assets and the income arising thereon are excluded from these financial statements as they are not assets of the Group.

ii. Comparative figures

Where necessary, comparative figures within notes have been restated to conform to changes in presentation, in the current year. Refer to Note 4 Segment reporting



Notes (continued)

3. Critical accounting estimates and judgements in applying accounting policies

The Group makes estimates and assumptions that affect the reported amounts of assets and liabilities within the next financial year. Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

a) Impairment losses on loans and advances

The Group reviews its loan portfolios to assess impairment at least on a monthly basis. In determining whether an impairment loss should be recorded in the income statement, the Group makes judgements as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of loans before the decrease can be identified with an individual loan in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a Group, or national or local economic conditions that correlate with defaults on assets in the Group. Management uses estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling its future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience. Retail loans are individually impaired if the amounts are past due and unpaid for three or more months. Corporate loans are analysed on a case-by-case basis taking into account breaches of key loan conditions. Management's estimates of future cash flows on individually impaired loans are based on historical loss experience for assets with similar credit risk characteristics. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

b) Fair value of derivatives

The fair value of financial instruments that are not quoted in active markets are determined by using valuation techniques. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed

by qualified personnel independent of the area that created them. All models are certified before they are used, and models are calibrated to ensure that outputs reflect actual data and comparative market prices. To the extent practical, models use only observable data, however areas such as credit risk (both own and counterparty), volatilities and correlations require management to make estimates.

Changes in assumptions about these factors could affect reported fair value of financial instruments.

c) Impairment of goodwill

The Group tests annually whether goodwill has suffered any impairment, in accordance with the accounting policy stated in Note 2(b). The recoverable amounts of cash-generating units have been determined based on value-in-use calculations. The carrying amount of the goodwill and the key assumptions made are set out in Note 29.

d) Income taxes

The Group is subject to income taxes in various jurisdictions. Significant judgment is required in determining the Group's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

e) Impairment of available-for-sale assets

The Group determines that available-for-sale equity investments are impaired when there has been significant or prolonged decline in fair value below its cost. The determination of what is significant or prolonged requires judgement. In making this judgement, the Group evaluates among other factors, the normal volatility in share price. In addition, impairment may be appropriate when there is evidence of deterioration of the financial health of the investee, industry and sector performance, changes in technology and operational and financial cash flows.



Notes (continued)

4. Segmental reporting

The Group is currently organised into three business units – Corporate and Investment Banking (CIB), Personal and Business Banking (PBB) and Insurance. The results of the business units are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance.

The Group is required to produce segmented financial statements i.e. Income Statement and statement of financial position in compliance with IFRS 8.

An operating segment is a component of the Group engaged in business activities, whose operating results are reviewed regularly by management in order to make decisions about resources to be allocated to segments and assessing segment performance. Identification of segments and the measurement of segment results is based on the Group's internal reporting to management.

Management has determined the operating segments based on the reports reviewed by the Managing Director. Management considers the business from client turnover perspective.

The Group has therefore segmented its business as Personal & Business Banking (PBB), Corporate and Investment Banking (CIB) and Insurance. This is in line with Group reporting and decision making reports.

The geographical spread (across borders) is also used as a part of performance analysis.

Personal and Business Banking (PBB)

Provides banking services to individual customers and small to medium sized enterprises. The products offered include:

- Mortgage lending – provides residential accommodation loans to individual customers.
- Instalment sales and finance leases – comprises two areas, instalment finance in the consumer market, mainly vehicles, and secondly, finance of vehicles and equipment in the business market.
- Card products – provides card facilities to individuals and businesses.
- Transactional and lending products – transactions in products associated with the various points of contact

channels such as ATMs, Internet, and branches. This includes deposit taking activities, electronic banking, cheque accounts and other lending products.

Corporate and Investment Banking (CIB)

Provides commercial and investment financial services to larger corporates, financial institutions and international counterparties. The products offered include:

- Global markets – includes foreign exchange and debt securities trading.
- Transactional products and services – includes transactional banking and investor services.
- Investment banking – includes project finance, advisory, structured finance, structured trade finance, corporate lending, primary markets and property finance.
- Wealth Management & Advising

Insurance

The Group underwrites all classes of life and non life insurance risks as defined in the Insurance Act and medical and personal accidents classes of short term insurance. It also issues investment contracts to provide customers with asset management solutions for their savings and retirement needs.

Major Customers

The Group does not have any one major customer that contributes more than 10 percent of its revenues. However the Group has one major customer whose deposits contribute 20.2% percent of total deposits as at December 2010. The interest expense paid to this customer is reported under the Corporate and Investment Banking segment.



Notes (continued)

4. Segmental reporting (continued)

a) Results by business units

	CIB Shs' 000	PBB Shs' 000	31 December 2010 Insurance Shs' 000	Total Shs' 000
Net interest income	2,551,679	1,777,518	478,751	4,807,948
Non interest revenue	3,714,971	752,984	1,499,811	5,967,766
Net premiums	-	-	4,320,404	4,320,404
Net claims	-	-	(3,202,755)	(3,202,755)
Income from associates	44,016	-	55,792	99,808
Impairments on loans and advances	(156,936)	(364,505)	0	(521,441)
Impairment of available for sale financial investments	-	-	(32,153)	(32,153)
Staff cost	(1,240,065)	(1,266,823)	(863,610)	(3,370,497)
Operating expenses	(1,643,278)	(2,105,059)	(1,689,919)	(5,438,255)
Profit before tax	3,270,387	(1,205,885)	566,321	2,630,825
Taxation	(948,006)	336,506	(231,958)	(843,457)
Profit after taxation	2,322,381	(869,379)	334,363	1,787,368
Assets	88,810,729	29,734,772	21,534,701	140,080,202
Loans and advances	56,265,161	18,959,469	-	75,224,630
Investments in associates	100,111	-	-	100,111
Customer deposits	68,795,394	16,899,204	-	85,694,598
Property and equipment	1,101,607	809,495	-	1,911,102
Intangibles	5,530,713	6,629,745	-	12,160,458
Total liabilities	(74,671,549)	(22,384,415)	(18,255,623)	(115,311,587)
Borrowings	(2,814,652)	(4,251,710)	-	(7,066,362)
Derivative assets	29,508	-	-	29,508
Additions to property and equipment	154,395	203,272	-	357,667
Additions to intangible assets	101,424	99,125	-	200,549
Depreciation and amortisation for the year	249,852	379,988	-	629,840



Notes (continued)

4. Segmental reporting (continued)

	31 December 2009			
	CIB Shs' 000	PBB Shs' 000	Insurance Shs' 000	Total Shs' 000
Net interest income	1,795,646	1,837,394	1,019,475	4,652,515
Non interest revenue	2,141,217	442,618	463,068	3,046,903
Net premiums	-	-	3,915,452	3,915,452
Net claims	-	-	(2,809,324)	(2,809,324)
Income from associates	21,635	-	60,603	82,238
Impairments on loans and advances	(285,813)	(313,336)	-	(599,149)
Impairment of available for sale financial investments	-	-	(699,449)	(699,449)
Staff cost	(826,260)	(913,751)	(566,238)	(2,306,249)
Operating expenses	(1,071,638)	(2,032,147)	(1,469,851)	(4,573,636)
Profit before tax	1,774,787	(979,222)	(86,264)	709,301
Taxation	(686,734)	206,715	(193,354)	(673,373)
Profit after taxation	1,088,053	(772,507)	(279,618)	35,928
Assets	88,221,542	19,590,805	19,878,603	127,690,950
Loans and advances	55,967,744	13,329,829	1,624,839	70,922,412
Investments in associates	56,248	-	281,427	337,675
Customer deposits	64,127,044	18,406,961	-	82,534,005
Property and equipment	922,462	949,902	1,090,301	2,962,665
Intangibles	7,495,745	4,822,844	190,743	12,509,332
Total liabilities	(68,910,566)	(21,882,877)	(16,555,905)	(107,349,348)
Borrowings	(2,513,173)	(2,743,445)	-	(5,256,618)
Derivative liabilities	(16,228)	-	-	(16,228)
Additions to property and equipment	254,216	575,275	206,242	1,035,733
Additions to intangible assets	56,971	713,622	17,770	788,363
Depreciation and amortisation for the year	201,524	271,416	145,028	617,968



Notes (continued)

4. Segmental reporting (continued)

b) Results on geographical spread

The Group's operations are located in Kenya and Tanzania. The Tanzanian subsidiary contributes over 10% of the Group's consolidated income.

	Kenya Shs' 000	31 December 2010 Tanzania Shs' 000	Group Shs' 000
Net interest income	4,757,629	50,319	4,807,948
Non interest revenue	5,690,409	277,357	5,967,766
Net premiums	3,748,534	571,870	4,320,404
Net claims	(2,879,814)	(322,941)	(3,202,755)
Assets	137,553,925	2,526,277	140,080,202
Loans and advances	75,224,630	-	75,224,630
Customer deposits	85,594,968	99,630	85,694,598
Property and equipment	1,894,556	16,546	1,911,102
Intangibles	12,160,458	-	12,160,458
Total liabilities	(113,508,288)	(1,803,299)	(115,311,587)
Borrowings	(7,066,362)	-	(7,066,362)
Derivative liabilities	29,508	-	29,508
Additions to property and equipment	349,979	7,688	357,667
Additions to intangible assets	200,549	-	200,549
Depreciation and amortisation for the year	620,164	9,676	629,840



Notes (continued)

4. Segmental reporting (continued)

b) Results on geographical spread

	31 December 2009		
	Kenya Shs' 000	Tanzania Shs' 000	Group Shs' 000
Net interest income	4,614,725	37,790	4,652,515
Non interest revenue	2,937,247	109,656	3,046,903
Net premiums	3,354,489	560,963	3,915,452
Net claims	(2,464,549)	(344,775)	(2,809,324)
Assets	124,103,868	3,587,082	127,690,950
Loans and advances	70,922,412	-	70,922,412
Customer deposits	82,534,005	-	82,534,005
Property and equipment	2,943,459	19,206	2,962,665
Intangibles	12,509,332	-	12,509,332
Total liabilities	(104,358,160)	(2,991,188)	(107,349,348)
Borrowings	(5,256,618)	-	(5,256,618)
Derivative liabilities	(16,228)	-	(16,228)
Additions to property and equipment	1,026,747	8,986	1,035,733
Additions to intangible assets	788,363	-	788,363
Depreciation and amortisation for the year	606,839	11,129	617,968



Notes (continued)

5. Financial risk management

Group risk management framework and governance structures

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risks
- Operational risks.

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital.

The Board of Directors has overall responsibility for the establishment and oversight of the Group's risk management framework. The Board has established various committees in the operating subsidiaries, including the Asset and Liability (ALCO), Credit and Operational Risk committees, which are responsible for developing and monitoring risk management policies in their specified areas. All Board committees have both executive and non-executive members and report regularly to the Board of Directors of the Group or the respective subsidiary on their activities.

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees understand their roles and obligations.

The Audit and Risk Committees are responsible for monitoring compliance with the Group's risk management policies and procedures, and for reviewing the adequacy of the risk management framework in relation to the risks faced by the Group. The Audit Committees are assisted in these functions by Internal Audit. Internal Audit undertakes both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to the Audit Committees.

a) Capital management

The Group's objectives when managing capital, which is a broader concept than the 'equity' on the face of balance sheet, are:

- To comply with the capital requirements set by the regulator, Capital Markets Authority.
- To safeguard the Group's ability (and its subsidiaries) to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders.
- To maintain a strong capital base to support the development of its business; and
- To comply, at the operating companies level, with capital requirements set by respective regulators such as the Central Bank of Kenya or respective insurance regulators.

Capital management – company

The company's objectives when managing capital are to safeguard the company's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the company may limit the amount of dividends paid to shareholders, issue new shares, or sell assets to reduce debt.



Notes (continued)

5. Financial risk management (continued)

a. Capital Management (continued)

The company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents.

Total capital is calculated as equity plus net debt.

	2010 Shs'000	2009 Shs'000
Total borrowings	-	200,000
Less: cash and cash equivalents	(859)	(2,228)
Net debt	-	197,772
Total equity	15,147,776	14,890,598
Total capital	15,147,776	15,088,370
Gearing ratio	0.0%	1.31%

The Board of Directors at the subsidiary companies are responsible for monitoring and ensuring compliance with the regulatory framework as established by the regulating bodies, namely Central Bank of Kenya, Capital Markets Authority, Insurance Regulatory Authority and the Nairobi Stock Exchange. This section presents information about the Group's management of capital in the main operating divisions.

Capital management - Banking division

The Bank's objectives when managing capital, which is a broader concept than the 'equity' on the face of balance sheet, are:

- To comply with the capital requirements set by the regulator, Central Bank of Kenya;
- To safeguard the Bank's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and
- To maintain a strong capital base to support the development of its business.

The Bank monitors the adequacy of its capital using ratios established by the Central Bank of Kenya (CBK), which ratios are broadly in line with those for the Bank for International Settlements (BIS). These ratios measure capital adequacy by comparing the Bank's eligible capital with its balance sheet assets, off-balance-sheet commitments and market and other risk positions at weighted amounts to reflect their relative risk.

The risk-based approach applies to both on and off-balance sheet items. The focus of this approach is credit risk, interest rate risk, market risk, operational risk, concentration risk and underlying collateral risk.

The assets are weighted according to broad categories, each being assigned a risk weighting according to the amount of capital deemed to be necessary to support them. Four categories of risk weights (0%, 20%, 50%, and 100%) are applied.



Notes (continued)

5. Financial risk management (continued)

a. Capital Management (continued)

The bank is required at all times to maintain:

- A core capital (tier 1) of not less than 8% of total risk weighted assets plus risk weighted off balance sheet items;
- A core capital (tier 1) of not less than 8% of its total deposit liabilities; and
- A total capital (tier 1 + tier 2) of not less than 12% of its total risk adjusted assets plus risk adjusted off balance sheet items.

Off-balance sheet credit related commitments and forwards are converted to credit risk equivalents using credit conversion factors, designed to convert these items into balance sheet equivalents. The resulting credit equivalent amounts are then weighted for credit risk using the same percentages as for balance sheet assets.

Tier 1 capital consists of shareholders' equity comprising paid up share capital, share premium and retained earnings less intangible assets, goodwill and investments in subsidiary institutions and equity instruments of other institutions. Tier 2 capital includes the Bank's term subordinated debt and statutory loan loss reserves and cannot exceed tier 1 capital. Statutory loan loss reserves qualifying as tier 2 capital cannot exceed 1.25% of the risk weighted assets total value.

Regulatory Capital

	2010 Shs'000	2009 Shs'000
Tier 1 capital (Core capital)		
Share capital	2,441,375	2,441,375
Share premium	534,118	534,118
Retained earnings	4,939,952	3,765,536
Total Tier 1 capital (Core capital)	7,915,445	6,741,029
Tier 2 capital		
Statutory credit risk reserve	440,445	427,899
Subordinated debt	3,957,722	3,370,515
Total Tier 2 capital	4,398,167	3,798,414
Total capital (Tier 1 + Tier 2)	12,313,612	10,539,443
Risk weighted assets		
On-balance sheet	65,584,422	54,891,877
Off- balance sheet	10,419,602	10,805,513
Total risk weighted assets	76,004,024	65,697,390
Capital adequacy ratios		
	2010	2009
Core capital / total risk weighted assets	10.41%	10.26%
Minimum regulatory requirement	8.00%	8.00%
Total capital / total risk weighted assets	16.20%	16.04%
Minimum regulatory requirement	12.00%	12.00%



Notes (continued)

5. Financial risk management (continued)

a. Capital Management (continued)

Capital management - Insurance division

The insurance division is regulated through and complies with the Insurance Act, Companies Act and Insurance Regulatory Authority. The objectives when managing capital are to:

- comply with the capital requirements as set out in the Insurance Act;
- comply with regulatory solvency requirements as set out in the Insurance Act.
- safeguard the companies' ability to continue as going concerns, so that they can continue to provide returns to shareholders and benefits for other stakeholders; and
- provide an adequate return to shareholders by pricing insurance and investment contracts commensurately with the level of risk.

The Insurance Act requires each insurance company to hold a minimum level of paid up capital as follows;

	Regulatory	CfC Life	Heritage Insurance
	Shs'000	Shs'000	Shs'000
General insurance business	300,000	460,000	350,000
Long-term insurance business	150,000	152,340	150,000

General insurance businesses are required to keep a solvency margin i.e. admitted assets less admitted liabilities equivalent to the higher of Shs 10 million or 15% of the net premium income during the preceding financial year.

Long-term insurance businesses are required to keep a solvency margin i.e. admitted assets less admitted liabilities equivalent to the higher of Shs 10 million or 5% of total admitted liabilities.

The solvency margin of the companies as at 31 December 2010 is illustrated below:

CfC Life Assurance Limited

	Long-term business 2010 Shs'000	Short-term business 2010 Shs'000	Long-term business 2009 Shs'000	Short-term business 2009 Shs'000
Admitted assets	13,073,715	396,415	10,310,991	451,802
Admitted liabilities	(11,162,949)	(330,898)	(9,647,488)	(417,342)
Solvency margin	1,910,766	65,517	663,503	34,460
Required margin	558,147	114,812	515,550	90,274



Notes (continued)

5. Financial risk management (continued)

a. Capital Management (continued)

Heritage Insurance Company (K) Limited

	Long-term business 2010 Shs'000	Short-term business 2010 Shs'000	Long-term business 2009 Shs'000	Short-term business 2009 Shs'000
Total admitted assets	1,832,603	2,953,372	1,514,279	2,245,609
Total admitted liabilities	(1,621,276)	(2,664,410)	(1,508,976)	(2,021,208)
Add: 5% of admitted assets	(81,064)	-	(75,449)	-
Add: 15% of previous year's net written premium for general business	-	(234,898)	-	(211,644)
Total liabilities & minimum requirement	(1,702,340)	(2,899,308)	(1,584,425)	(2,232,852)
Solvency margin	130,263	54,064	(70,146)	12,757

The Group has short term insurance operations in Tanzania the its subsidiary (The Heritage Insurance Company (T) Limited) and is subject to Tanzania local regulations. A brief solvency regulatory compliance is shown below (converted to Kshs).

	2010 Shs' 000	2009 Shs' 000
Admitted assets	996,810	1,658,885
Admitted liabilities	(915,077)	(1,426,175)
Solvency Margin	81,733	232,710
Required margin	81,733	115,953

b) Credit risk

CfC Stanbic Group Credit risk management is governed by the Standard Bank Group's overall credit policy guidelines. Respective Credit Risk Management Divisions are responsible for the implementation of these guidelines, which cover compliance with prescribed sanctioning authority levels, avoidance of a high concentration of credit risk and regular review of credit limits. Limits on facilities to counterparties are governed by internal restraints, which restrict large exposures in relation to the capital.

Exposure to credit risk is managed through regular analysis of the ability of borrower and potential borrowers to meet all payment obligations and by aligning credit limits where appropriate. Exposure to credit risk is also managed in part by obtaining collateral and corporate and personal guarantees, but a significant portion is personal lending where no such facilities can be obtained.

The Group takes on exposure to credit risk, which is the risk that a counter-party will cause a financial loss for the Group by failing to discharge an obligation in full when due. Impairment provisions are provided for losses that have been incurred at the balance sheet date.



Notes (continued)

5. Financial risk management (continued)

b. Credit risk (continued)

Significant changes in the economy, or in the health of a particular industry segment that represents a concentration of the Group's portfolio, could result in losses that are different from those provided for at the balance sheet date.

Maximum exposure to credit risk (before collateral)

	2010 Shs'000	Group 2009 Shs'000	2010 Shs'000	Company 2009 Shs'000
Balances with Central Bank	4,129,734	2,444,150	-	-
Balances with other banks	17,554,827	26,347,747	-	2,228
Loans and advances to customers	58,984,961	45,840,448	-	-
Government and other securities	22,027,725	26,712,867	-	-
Balances due from group companies	-	-	243,009	275,586
Other assets	1,446,115	5,961,542	-	133,023
Total	104,143,362	107,306,754	243,009	410,837
Off-balance sheet items	73,375,543	11,684,621	-	-
Total credit risk exposure	177,518,905	118,991,375	243,009	410,837

Credit exposures classified in terms of maturity

	2010 Shs'000	2009 Shs'000	2010 Shs'000	2009 Shs'000
Neither past due nor impaired	173,171,180	112,779,284	243,009	135,251
Past due but not impaired	2,460,029	4,466,881	-	-
Impaired	1,887,696	1,745,210	-	-
	177,518,905	118,991,375	243,009	135,251

Each subsidiary (operating division) is required to implement the Group credit policies in line with credit approval authorities delegated. Management therefore carefully manages its exposure to credit risk as indicated in the ensuing paragraphs.



Notes (continued)

5. Financial risk management (continued)

b. Credit risk (continued)

Credit risk management - Banking division

The Bank structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or groups of borrowers, and to industry segments. Such risks are monitored on a revolving basis and are subject to annual or more frequent review. Limits on the level of credit risk by product, industry sector and by country are approved by the Board of Directors.

The exposure to any one borrower including banks is further restricted by sub-limits covering on - and off-balance sheet exposures and daily delivery risk limits in relation to trading items such as forward foreign exchange contracts. Actual exposures against limits are monitored daily.

(i) Management reporting

A number of reports are prepared as management information on credit risk. Various analyses of the data are done and a variety of reports are prepared on a monthly and quarterly basis. Some of these reports include:

- Monthly Board Credit and Risk Report
- Quarterly Board Audit Report
- Quarterly Board Risk Report
- Regulatory returns
- Half-year results
- Annual financial statements

These reports are distributed to Standard Bank Group controlling divisions, regulators and are available for inspection by authorised personnel.

(ii) Credit risk measurement

Loans and advances

In measuring credit risk of loans and advances to customers and to banks at a counter-party level, the Bank reflects three components:

- the 'probability of default' by the client or counterparty on its contractual obligations;
- current exposures to the counterparty and its likely future development, from which the Bank derives the 'exposure at default'; and
- the likely recovery ratio on the defaulted obligations (the 'loss given default').

These credit risk measurements, which reflect expected loss (the 'expected loss model') and are required by the Basel Committee on Banking Regulations and the Supervisory Practices are embedded in the Bank's daily operational management. The operational measurements can be contrasted with impairment allowances required under IAS 39, which are based on losses that have been incurred at the balance sheet date (the 'incurred loss model') rather than expected losses.

The Bank assesses the probability of default of individual counterparties using internal rating tools tailored to the various categories of counterparty. They have been developed by the Standard Bank Group and combine statistical analysis with credit officer judgment and are validated, where appropriate, by comparison with externally available data. Clients of the Bank are segmented into five rating classes. The Bank's rating scale reflects the range of default probabilities defined for each rating class. This means that, in principle, exposures migrate between classes as the assessment of their probability of default changes. The rating tools are kept under review and upgraded as necessary. The Bank regularly validates the performance of the ratings and their predictive power with regard to default events.



Notes (continued)

5. Financial risk management (continued)

b. Credit risk (continued)

Collateral

The Bank employs a range of policies and practices to mitigate credit risk. The most traditional of these is the taking of security for funds advanced, which is common practice. The Bank implements guidelines on the acceptability of specific classes of collateral or credit risk mitigation. The principal collateral types for loans and advances are:

- Mortgages over residential properties;
- Charges over business assets such as premises, inventory and accounts receivable;
- Charges over financial instruments such as debt securities and equities.

Longer-term finance and lending to corporate entities is generally secured; revolving individual credit facilities are generally unsecured. In addition, in order to minimise possible credit loss the Bank seeks additional collateral from the counterparty as soon as impairment indicators are noticed for the relevant individual loans and advances. Collateral held as security for financial assets other than loans and advances is determined by the nature of the instrument. Debt securities, treasury and other eligible bills are generally unsecured, with the exception of asset-backed securities and similar instruments, which are secured by portfolios of financial instruments.

Derivatives

The Bank maintains strict control limits on net open derivative positions (i.e., the difference between purchase and sale contracts), by both amount and term. At any one time, the amount subject to credit risk is limited to the current fair value of instruments that are favourable to the Bank (i.e., assets where their fair value is positive), which in relation to derivatives is only a small fraction of the contract, or notional values used to express the volume of instruments outstanding. This credit risk exposure is managed as part of the overall lending limits with customers, together with potential exposures from market movements. Collateral or other security is not usually obtained for credit risk exposures on these instruments, except where the Bank requires margin deposits from counterparties.

Settlement risk arises in any situation where a payment in cash, securities or equities is made in the expectation of a corresponding receipt in cash, securities or equities. Daily settlement limits are established for each counterparty to cover the aggregate of all settlement risk arising from the Bank's market transactions on any single day.

Credit related commitments

The primary purpose of these instruments is to ensure that funds are available to a customer as required. Guarantees and standby letters of credit, which represent irrevocable assurances that the Bank will make payments in the event that a customer cannot meet its obligations to third parties, carry the same credit risk as loans. Documentary and commercial letters of credit, which are written undertakings by the Bank on behalf of a customer authorising a third party to draw drafts on the Bank up to a stipulated amount under specific terms and conditions, are collateralised by the underlying shipments of goods to which they relate and therefore carry less risk than a direct borrowing.

Commitments to extend credit represent unused portions of authorisations to extend credit in the form of loans, guarantees or letters of credit. With respect to credit risk on commitments to extend credit, the Bank is potentially exposed to loss in an amount equal to the total unused commitments. However, the likely amount of loss is less than the total unused



Notes (continued)

5. Financial risk management (continued)

b. Credit risk (continued)

commitments, as most commitments to extend credit are contingent upon customers maintaining specific credit standards. The Bank monitors the term to maturity of credit commitments because longer-term commitments generally have a greater degree of credit risk than shorter-term commitments.

(iii) Impairment and provisioning policy

The internal and external rating systems described above focus more on credit-quality mapping from the inception of the lending and investment activities. In contrast, impairment provisions are recognised for financial reporting purposes only for losses that have been incurred at the balance sheet date based on objective evidence of impairment. Due to the different methodologies applied, the amount of incurred credit losses provided for in the financial statements are usually lower than the amount determined from the expected loss model that is used for internal operational management and banking regulation purposes.

The impairment provision shown in the balance sheet at year-end is derived from each of the five internal rating grades. However, the majority of the impairment provision comes from the bottom two gradings (doubtful and loss categories).

The internal rating tool assists management to determine whether objective evidence of impairment exists under IAS 39, based on the following criteria set out by the Bank:

- Delinquency in contractual payments of principal or interest;
- Cash flow difficulties experienced by the borrower (e.g. equity ratio, net income percentage of sales);
- Breach of loan covenants or conditions;
- Initiation of bankruptcy proceedings;
- Deterioration of the borrower's competitive position;
- Deterioration in the value of collateral.

The Bank's policy requires the review of individual financial assets that are above materiality thresholds at least annually or more regularly when individual circumstances require. Impairment allowances on individually assessed accounts are determined by an evaluation of the incurred loss at balance-sheet date on a case-by-case basis, and are applied to all individually significant accounts. The assessment normally encompasses collateral held (including re-confirmation of its enforceability) and the anticipated receipts for that individual account.

Collectively assessed impairment allowances are provided for: (i) portfolios of homogenous assets that are individually below materiality thresholds; and (ii) losses that have been incurred but have not yet been identified, by using the available historical experience, experienced judgment and statistical techniques.

(iv) Credit tailored to customer profile

There is a clear distinction between the fundamental credit characteristics of the Bank's customer base. This customer base is managed according to the following market segments:

- Corporate and Investment Banking
- Personal and Business Banking

A diverse range of performance analysis techniques are applied across product sets in recognition of differing asset and maturity profiles. Defaulting accounts receive prompt attention and in instances where loss is anticipated, they are handled centrally by rehabilitation and recoveries resources within the credit department.

(v) Maximum exposure to credit risk before collateral held or other credit enhancements

The table below shows the maximum exposure to credit risk by class of financial instruments. Financial instruments include financial instruments defined and recognised under IAS 39 as well as other financial instruments not recognised. The maximum exposure is shown gross, before the effect of mitigation through the use of master-netting and collateral agreements.



Notes (continued)

5. Financial risk management (continued)

b. Credit risk (continued)

	2010 Shs '000	2009 Shs '000
Balances with Central Bank	4,129,734	2,444,150
Loans and advances to banks	16,239,669	25,081,964
Loans and advances to customers	58,984,961	44,977,967
Government and trading securities	21,905,060	18,572,510
Other assets	1,638,278	2,517,017
Total recognised financial instruments	102,897,702	93,593,608
Off-balance sheet items	73,375,543	11,684,621
Total credit risk exposure	176,273,245	105,278,229

The above table represents a worst-case scenario of credit risk exposure to the Bank at 31 December 2010 and 2009, without taking account of any collateral held or other credit enhancements attached. For on-balance sheet assets, the exposures set out above are based on net carrying amounts as reported in the balance sheet.

As shown above, 73% of the total recognised credit risk exposure is derived from loans and advances to banks and customers (2009: 75%); 21% represents investments in debt securities (2009: 20%).

Management is confident in its ability to continue to control and sustain minimal exposure of credit risk to the Bank resulting from both its loan and advances portfolio and debt securities based on the following:

- 97% of the loans and advances portfolio is categorised in the top two grades of the internal rating system (2009: 96%);
- Mortgage loans, are backed by collateral;
- 97% of the loans and advances portfolio are considered to be neither past due nor impaired (2009: 96%);
- 92% of all debt securities, which the bank has invested in, are issued by the Central Bank of Kenya. (2009: 92%)

(vi) Valuation of collateral

The Bank has a panel of valuers who undertake valuation of property and other assets to be used as collateral. The valuers in the panel are qualified professional valuers with adequate experience in the field of property and machinery valuation. All the valuers on the panel provide the Bank with professional indemnity to cover the Bank in case of negligence. The Bank ensures that all properties used as collateral are adequately insured during the term of the loan. Valuation reports on properties are valid for three years after which the property and equipment is revalued.

(vii) Credit quality

The credit quality of financial assets is managed by the Group using the Group's internal credit rating system. The credit rating system utilises both quantitative and qualitative information in arriving at the credit rating. Financial information is used and is key in arriving at the credit rating of individual borrowers. The qualitative information used in generating the credit rating includes quality of management, account operation and the industry in which the customer operates. The key consideration though remains the ability of the customer to meet its financial obligation from its cash flow. The table below summaries the credit quality in terms of maturity.

	2010 Shs '000	2009 Shs '000
Neither past due nor impaired	56,255,343	40,618,279
Past due but not impaired	2,032,372	4,436,511
Impaired	1,742,050	1,745,210
Gross	60,029,765	46,800,000



Notes (continued)

5. Financial risk management (continued)

b. Credit risk (continued)

(viii) Collateral repossessed

Assets repossessed during the year comprise saloon vehicles, prime movers and trailers, which had been financed by the Bank under Vehicle and Asset Finance (VAF). It is the Bank's policy to dispose of repossessed properties on the open market, at fair market value. The proceeds are used to reduce or repay the outstanding claim. In general, the Bank does not occupy repossessed properties for business use.

Credit risk management - Insurance division

The Group has exposure to credit risk, which is the risk that a counter-party will be unable to pay amounts in full when due. Key areas where the company is exposed to credit risk are:

- Insurance receivables;
- Reinsurance receivables; and
- Reinsurers' share of insurance liabilities.

Other areas where credit risk arises include cash at bank, corporate bonds and deposits with banks and other receivables. The company has no significant concentrations of credit risk. The Group structures the levels of credit risk it accepts by placing limits on its exposure to a single counter-party, or groups of counter-parties, and to geographical and industry segments. Such risks are subject to an annual or more frequent review. Limits on the level of credit risk by category and territory are approved quarterly by the Board of Directors.

Reinsurance is used to manage insurance risk. This does not, however, discharge the Group's liability as primary insurer. If a reinsurer fails to pay a claim for any reason, the Group remains liable for the payment to the policyholder. The creditworthiness of reinsurers is considered on an annual basis by reviewing their financial strength prior to finalisation of any contract. The exposure to individual counter parties is also managed by other mechanisms, such as the right of offset where counter-parties are both debtors and creditors of the Group. Management information reported to the Group includes details of provisions for impairment on loans and receivables and subsequent write-offs. Internal audit makes regular reviews to assess the degree of compliance with the Group's procedures on credit. Exposures to individual policyholders and groups of policyholders are collected within the ongoing monitoring of the controls associated with regulatory solvency.



Notes (continued)

5. Financial risk management (continued)

b. Credit risk (continued)

Where there exists significant exposure to individual policyholders or homogenous groups of policyholders, a financial analysis equivalent to that conducted for reinsurers is carried out by the Group's underwriting department.

The amount that best represents the insurance companies' maximum exposure to credit risk at 31 December 2010 is made up as follows:

Maximum exposure to credit risk before collateral held

	2010 Shs '000	2009 Shs '000
Reinsurance receivables	210,057	211,334
Insurance receivables	505,609	859,372
Reinsurers' share notified claims	922,811	1,986,945
Government securities held-to-maturity	2,349,654	2,606,017
Government securities available-for-sale	5,161,681	4,397,698
Deposits with financial institutions	2,181,279	1,032,713
Corporate bonds	1,825,553	1,232,536
Commercial paper	770	25,333
Mortgage loans	1,146,736	1,075,069
Other receivables	441,463	946,548
Cash at bank	582,666	283,522
Investment in the Kenya Motor Insurance Pool	-	6,905
	15,328,280	14,663,992

All mortgage loans have the property secured as collateral while policy loans have the cash value of the policy secured as collateral. All receivables that are neither past due or impaired are within their approved credit limits, and no receivables have had their terms renegotiated.

None of the above assets are past due or impaired except for insurance receivables (which are due upon invoicing)



Notes (continued)

5. Financial risk management (continued)

b. Credit risk (continued)

Financial assets that are neither past due or impaired

Insurance receivables are summarised as follows:

	2010 Shs '000	2009 Shs '000
Neither past due nor impaired	77,952	276,260
Past due but not impaired	427,657	459,192
Impaired	145,646	165,492
Gross	651,255	900,944
Less: allowance for impairment	(145,646)	(41,572)
Net	505,609	859,372

Insurance receivables past due but not impaired:

	2010 Shs '000	2009 Shs '000
Past due but not impaired:		
- by up to 30 days	110,155	52,748
- by 31 to 60 days	62,991	45,541
- by 61 to 150 days	136,039	127,139
- by 151 to 360 days	118,473	233,764
Total past due but not impaired	427,657	459,192

All receivables past due by more than 360 days are considered to be impaired, and are carried at their estimated recoverable value.



Notes (continued)

5. Financial risk management (continued)

c) Market risk

The Group takes on exposure to market risks, which is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risks arise from open positions in interest rate, currency and equity products, all of which are exposed to general and specific market movements and changes in the level of volatility of market rates or prices such as interest rates, credit spreads, foreign exchange rates and equity prices.

The Board of Directors at each subsidiary has the responsibility of effectively managing the market risk, in compliance with the Group's market risk framework. Further details per main operating divisions are disclosed separately in this section.

Market risk management - Banking division

Market risk measurement techniques:

As part of the management of market risk, the Bank's major measurement technique is value at risk.

The Bank applies 'value at risk' methodology (VAR) to its trading and non-trading portfolios, to estimate the market risk of positions held and the maximum losses expected, based upon a number of assumptions for various changes in market conditions. The ALCO sets limits on the value of risk that may be acceptable for the Bank, which are monitored on a daily basis by the Head of Risk.

VAR is a statistically based estimate of the potential loss on the current portfolio from adverse market movements. It expresses the 'maximum' amount the Bank might lose, but only to a certain level of confidence (98%). There is therefore a specified statistical probability (2%) that actual loss could be greater than the VAR estimate.

The use of this approach does not prevent losses outside of these limits in the event of more significant market movements.

As VAR constitutes an integral part of the Bank's market risk control regime, VAR limits are established by the Board annually for all trading non-trading portfolios. Actual exposure against limits, together with a Bank-wide VAR, is reviewed daily by the Bank's Treasury.

(a) Foreign exchange risk

The quality of the VAR model is continuously monitored by back-testing the VAR results for trading books. All back-testing exceptions and any exceptional revenues on the profit side of the VAR distribution are investigated.

The Bank takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Asset and Liability Committee sets limits on the level of exposure by currency and in total for both overnight and intra-day positions, which are monitored daily.

The table below indicates the extent to which the Bank was exposed to currency risk as at 31 December on its monetary assets and liabilities denominated in foreign currency. The table shows the sensitivity analysis for each currency to which the Bank has significant exposure and the effect of the change in exchange rate on profit and loss.



Notes (continued)

5. Financial risk management (continued)

c. Market risk (continued)

Currency	Increase in currency rate in % 2010	Effect on profit before tax 2010 Shs '000	Effect on profit after tax 2010 Shs '000	Increase in currency rate in % 2009	Effect on profit before tax 2009 Shs '000	Effect on profit after tax 2009 Shs '000
USD	6	(423,201)	(296,241)	3	(156,985)	(109,889)
GBP	1	(233)	(163)	8	627,034	438,924
EUR	2	7,014	4,910	1	5,072	3,550
Others	10	31,127	21,789	6	(61,986)	(43,390)

Currency	Decrease in currency rate in % 2010	Effect on profit before tax 2010 Shs '000	Effect on profit after tax 2010 Shs '000	Decrease in currency rate in % 2009	Effect on profit before tax 2009 Shs '000	Effect on profit after tax 2009 Shs '000
USD	6	423,201	296,241	3	156,985	109,889
GBP	1	233	163	8	(627,034)	(438,924)
EUR	2	(7,014)	(4,910)	1	(5,072)	(3,550)
Others	10	(31,127)	(21,789)	6	61,986	43,390

(b) Interest rate risk

The Bank takes on exposure to the effects of fluctuations in the prevailing levels of market interest rates on both its fair value and cash flow risks. Interest margins may increase as a result of such changes but may reduce or create losses in the event that unexpected movements arise. The Asset and Liability Committee (ALCO) sets limits on the level of mis-match of interest rate repricing that may be undertaken, which is monitored daily.

Furthermore the ALCO monitors the sensitivity of net interest income to changes in interest rates. Limits are set and monitored monthly.

Year ended 31 December 2010		Increase in basis points	Sensitivity of net interest income Shs '000	Decrease in basis points	Sensitivity of net interest income Shs '000
Currency					
Shs		200	158,853	200	(233,902)
Others		75	150,410	75	(28,075)
Year ended 31 December 2009		Increase in basis points	Sensitivity of net interest income Shs '000	Decrease in basis points	Sensitivity of net interest income Shs '000
Currency					
Shs		200	158,853	200	(233,902)
Others		75	150,410	75	(28,075)



Notes (continued)

5. Financial risk management (continued)

c. Market risk management - Insurance division

(i) Foreign exchange risk

The Group invests offshore and underwrites some policies contracted in US dollars. This exposes the Group to foreign exchange risk arising from various currency exposures, primarily with respect to the US dollar. Foreign exchange risk arises from future commercial transactions, recognised assets and liabilities and net investments in foreign currencies.

The Group manages foreign exchange risk arising from future commercial transactions and recognised assets and liabilities using forward contracts, but has not designated any derivative instruments as hedging instruments.

At 31 December 2010, if the Shilling had weakened/strengthened by 5% against the US dollar with all other variables held constant, the post tax profit for the period would have been Shs 7,050,000 (2009: Shs 11,007,725) higher/lower, mainly as a result of US dollar investments, receivables and bank balances.

(ii) Price risk

The Group is exposed to equity securities price risk because of investments in quoted classified as available-for-sale. To manage its price risk arising from investments in equity and debt securities, the Group diversifies its portfolio. Diversification of the portfolio is done in accordance with limits set by the Group and the Insurance Act. All quoted shares held by the insurance companies are traded on the Nairobi Stock Exchange (NSE) or the Dar es Salaam Stock Exchange (DSE).

At 31 December 2010, if the NSE Index had increased/decreased by 5% with all other variables held constant and all the Group's equity instruments moved according to the historical correlation to the index, equity would have been Shs 200,068,535 (2009: Shs 138,181,579) higher/lower.

(iii) Cash flow and fair value interest rate risk

Fixed interest rate financial instruments expose the Group to fair value interest rate risk. Variable interest rate financial instruments expose the Group to cash flow interest rate risk. The Group's fixed interest rate financial instruments are government securities and deposits with financial institutions. The Group's variable interest rate financial instruments are quoted corporate bonds.

No limits are placed on the ratio of variable rate financial instruments to fixed rate financial instruments. The Group manages its cash flow interest rate risk by diversification of its portfolio mix. The sensitivity analysis for interest rate risk illustrates how changes in the fair value or future cash flows of a financial instrument will fluctuate because of changes in market interest rates at the reporting date.

For liabilities under long-term insurance contracts with fixed and guaranteed terms, changes in interest rate will not cause a change to the amount of the liability, unless the change is severe enough to trigger a liability adequacy test adjustment. The level of the reduction of the level of interest rate that will trigger an adjustment is an interest rate of 1 % (2009: 1 %). Investment contracts with fixed and guaranteed terms, government securities and deposits with financial institutions held- to-maturity are accounted for at amortised cost and their carrying amounts are not sensitive to changes in the level of interest rates.

d) Liquidity risk

Liquidity risk is the risk that the Group and/or its subsidiaries are unable and or will encounter difficulty in meeting obligations from financial liabilities (meet its payment obligations associated with its financial liabilities) when they fall due. The consequence may be the failure to meet obligations to repay depositors, supplier commitments and fulfil commitments to lend. The Board of Directors at each operating entity (subsidiaries) are responsible for the management of liquidity risk within the business units in compliance with the Group risk framework.



Notes (continued)

5. Financial risk management (continued)

d. Liquidity risk (continued)

Liquidity risk – Company

A summary of liquidity risk showing matching of financial assets and liabilities at CfC Stanbic Holdings Limited (Company only) is shown in the following table.

31 December 2010	Up to 1 month Shs'000	1 – 6 Months Shs'000	6 – 12 Months Shs'000	Total Shs'000
Cash and bank balances	859	-	-	859
Other assets	-	-	-	-
Balances due from Group companies	-	-	243,009	243,009
Total assets	859	-	243,009	243,868
Borrowings	-	-	-	-
Other liabilities	18,914	-	-	18,914
Balances due to Group companies	-	-	178,496	178,496
Total liabilities	18,914	-	178,496	197,410
Net liquidity gap	(18,055)	-	64,513	46,458

31 December 2009	Up to 1 month Shs'000	1 – 6 Months Shs'000	6 – 12 Months Shs'000	Total Shs'000
Cash and bank balances	2,228	-	-	2,228
Other assets	133,023	-	-	133,023
Balances due from Group companies	-	-	275,586	275,586
Total assets	135,251	-	275,586	410,837
Borrowings	-	-	200,000	200,000
Other liabilities	33,908	-	-	33,908
Balances due to Group companies	-	-	324,432	324,432
Total liabilities	33,908	-	524,432	558,340
Net liquidity gap	101,343	-	(248,846)	(147,503)



Notes (continued)

5. Financial risk management (continued)

d. Liquidity risk (continued)

Liquidity risk management – Banking division

The Bank is exposed to daily calls on its available cash resources from overnight deposits, current accounts, maturing deposits, and calls on cash settled contingencies. The Bank does not maintain cash resources to meet all of these needs as experience shows that a minimum level of reinvestment of maturing funds can be predicted with a high level of certainty.

The Asset and Liability Committee sets limits on the minimum proportion of maturing funds available to meet such calls and on the minimum level of inter-bank and other borrowing facilities that should be in place to cover withdrawals at unexpected levels of demand.

The Bank's liquidity management process, as carried out within the Bank and monitored by a separate team in Treasury, includes:

- Day-to-day funding, managed by monitoring future cash flows to ensure that requirements can be met. These include replenishment of funds as they mature or are borrowed by customers;
- Maintaining a portfolio of highly marketable assets that can easily be liquidated as protection against any unforeseen interruption to cash flow; Monitoring balance sheet liquidity ratios against internal and regulatory requirements; and managing the concentration and profile of debt maturities;
- Monitoring and reporting take the form of cash flow measurement and projections for the next day, week and month, as these are key periods for liquidity management. The starting point for these projections is an analysis of the contractual maturity of the financial liabilities and the expected collection date of the financial assets;
- Treasury also monitors unmatched medium-term assets, the level and type of undrawn lending commitments, the usage of overdraft facilities and the impact of contingent liabilities such as standby letters of credit and guarantees.

The table below presents the cash flows payable by the Bank under financial liabilities by remaining contractual maturities at the balance sheet date. The amounts disclosed in the table are the contractual undiscounted cash flows, whereas the Bank manages the inherent liquidity risk based on expected undiscounted cash inflows.

Assets available to meet all of the liabilities and to cover outstanding loan commitments include cash, central bank balances, items in the course of collection; loans and advances to banks; and loans and advances to customers. In addition, debt securities and treasury and other bills have been pledged to secure liabilities. The Bank would also be able to meet unexpected net cash outflows by selling securities and accessing additional funding sources such as asset-backed markets.

5. Financial risk management (continued)

d. Liquidity risk (continued)

The table below presents the cash flows receivable and payable by the bank under financial assets and liabilities by remaining contractual maturities at the balance sheet date.

	2010 Up to 1 month Shs '000	2010 1 – 6 months Shs '000	2010 6 – 12 months Shs '000	2010 1 – 5 years Shs '000	2010 Over 5 years Shs '000	2010 Total Shs '000
Financial assets						
Cash and balances with Central Bank	2,297,038	-	-	-	3,146,868	5,443,906
Investment securities	6,830,545	5,365,153	525	8,056,721	1,681,624	21,934,568
Loans and advances to banks	11,336,398	2,516,080	1,684,903	702,288	-	16,239,669
Loans and advances to customers	21,369,175	5,010,482	2,566,098	16,583,810	13,455,396	58,984,961
	41,833,156	12,891,715	4,251,526	25,342,819	18,283,888	102,603,104
Financial liabilities						
Contractual amounts payable on derivatives	729,153	-	-	-	-	729,153
Deposits from banks	14,204,632	64,851	-	-	-	14,269,483
Deposits from customers	60,882,782	10,599,899	1,248,483	72,694	-	72,803,858
Subordinated bonds	-	200,000	400,000	2,700,000	4,115,816	7,415,816
Other Liabilities	2,113,262	-	-	-	-	2,113,262
Total recognised financial instruments	77,929,829	10,864,750	1,648,483	2,772,694	4,115,816	97,331,572
Net liquidity gap	(36,096,673)	2,026,965	2,603,043	22,570,125	14,168,072	5,271,532



Notes (continued)

5. Financial risk management (continued)

d. Liquidity risk (continued)

	2009 Up to 1 month Shs '000	2009 1 – 6 months Shs '000	2009 6 – 12 months Shs '000	2009 1 – 5 years Shs '000	2009 Over 5 years Shs '000	2009 Total Shs '000
Financial assets						
Cash and balances with CBK	589,591	-	-	-	2,750,766	3,340,357
Government securities	2,107,555	3,228,441	2,243,440	11,138,272	7,480,429	26,198,137
Loans and advances to banks	15,208,237	4,169,873	5,814,259	-	-	25,192,369
Loans and advances to customers	22,344,784	3,365,878	2,372,329	15,767,872	4,734,915	48,585,778
	40,250,167	10,764,192	10,430,028	26,906,144	14,966,110	103,316,641
Financial liabilities						
Contractual amounts payable on derivatives	5,318,481	-	-	-	-	5,318,481
Deposits from banks	13,941,219	1,632,306	5,579,401	10,007	-	21,162,933
Deposits from customers	45,472,385	8,448,064	7,999,861	7	-	61,920,317
Subordinated bonds	18,176	203,052	224,575	2,365,225	4,821,876	7,632,904
Other Liabilities	2,249,378	-	-	-	-	2,249,378
Total recognised financial instruments	66,999,639	10,283,422	13,803,837	2,375,239	4,821,876	98,284,013
Net liquidity gap	(26,749,472)	480,770	(3,373,809)	24,530,905	10,144,234	5,032,628



Notes (continued)

5. Financial risk management (continued)

d. Liquidity risk (continued)

Liquidity risk management – Insurance division

Liquidity risk is the risk that the Group is unable to meet its payment obligations associated with its financial liabilities as they fall due and to replace funds when they are withdrawn.

The table below presents the cash flows receivable and payable by the insurance companies under financial assets and liabilities by remaining maturities at the balance sheet date.

As at 31 December 2010	1 - 3 months Shs'000	3 - 12 months Shs'000	1 - 5 years Shs'000	Over 5 years Shs'000	Total Shs'000
Liabilities					
Insurance contract liabilities	777,726	1,276,310	2,321,517	1,150,223	5,525,776
Payable under deposit administration	232,037	1,008,761	4,460,773	3,001,702	8,703,273
Outstanding claims	191,187	68,197	-	-	259,384
Creditors arising from reinsurance	81,895	197,389	-	-	279,284
Other payables	857,939	37,809	-	-	895,748
Total financial liabilities (expected maturity)	2,140,784	2,588,466	6,782,290	4,151,925	15,663,465

As at 31 December 2009	1 - 3 months Shs'000	3 - 12 months Shs'000	1 - 5 years Shs'000	Over 5 years Shs'000	Total Shs'000
Liabilities					
Insurance contract liabilities	142,473	1,752,460	459,569	153,045	2,507,547
Payable under deposit administration	213,779	883,939	3,890,780	2,620,538	7,609,036
Outstanding claims	204,954	813,318	-	-	1,018,272
Creditors arising from reinsurance	20,674	603,244	-	-	623,918
Other payables	601,948	86,312	-	-	688,260
Total financial liabilities (expected maturity)	1,183,828	4,139,273	4,350,349	2,773,583	12,447,033

Long-term insurance and deposit administration contracts can be surrendered before maturity for a cash surrender value specified in the contractual terms and conditions. Prudent liquidity risk management includes maintaining sufficient cash balances to cover anticipated surrenders before the contractual maturity dates. In addition, the company invests only a limited proportion of its assets in investments that are not actively traded. The companies' listed securities are considered readily realisable, as they are actively traded on the Nairobi Stock Exchange and the Dar es Salaam Stock Exchange.



Notes (continued)

5. Financial risk management (continued)

d. Liquidity risk (continued)

Management of insurance and financial risk for Insurance division

General and Life Insurance divisions

The Group's activities expose it to a variety of risks, including insurance risk, financial risk, credit risk, and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The Group's overall risk management programme focuses on the identification and management of risks and seeks to minimise potential adverse effects on its financial performance, by use of underwriting guidelines and capacity limits, reinsurance planning, credit policy governing the acceptance of clients, and defined criteria for the approval of intermediaries and reinsurers. Investment policies are in place which help manage liquidity, and seek to maximize return within an acceptable level of interest rate risk.

This section summarises the way the Group manages key insurance specific risks:

e. Insurance risk

The risk under any one insurance contract is the possibility that the insured event occurs and the uncertainty of the amount of the resulting claim. By the very nature of an insurance contract, this risk is random and therefore unpredictable.

For a portfolio of insurance contracts where the theory of probability is applied to pricing and provisioning, the principal risk that the company faces under its insurance contracts is that the actual claims and benefit payments exceed the carrying amount of the insurance liabilities. This could occur because the frequency or severity of claims and benefits are greater than estimated. Insurance events are random and the actual number and amount of claims and benefits will vary from year to year from the level established using statistical techniques.

Experience shows that the larger the portfolio of similar insurance contracts, the smaller the relative variability about the expected outcome will be. In addition, a more diversified portfolio is less likely to be affected across the board by a change in any subset of the portfolio. The company has developed its insurance underwriting strategy to diversify the type of insurance risks accepted and within each of these categories to achieve a sufficiently large population of risks to reduce the variability of the expected outcome. Factors that aggravate insurance risk include lack of risk diversification in terms of type and amount of risk, geographical location and type of industry covered.

The following tables disclose the concentration of insurance liabilities by the class of business in which the contract holder operates and by the maximum insured loss limit included in the terms of the policy. The amounts are the carrying amounts of the insurance liabilities (gross and net of re-insurance) arising from insurance contracts.



Notes (continued)

5. Financial risk management (continued)

e. Insurance risk (continued)

Maximum insured loss 2010

General insurance business		Shs 0m –Shs 15m Shs'000	Shs 15m –Shs 250m Shs'000	Shs 250m –Shs 1,000m Shs'000	Total Shs'000
Personal accident	Gross	17,935,388	3,092,997	1,848,227	22,876,612
	Net	17,875,125	2,457,601	-	20,332,726
Motor	Gross	38,986,638	50,453,564	60,756,552	150,196,754
	Net	38,560,664	38,050,410	9,159,530	85,770,604
Fire	Gross	7,104,213	16,930,006	487,299,132	511,333,351
	Net	6,961,212	11,214,342	2,786,927	20,962,481
Other	Gross	13,180,286	23,501,116	134,737,156	171,418,558
	Net	12,514,114	13,876,376	11,239,272	37,629,762
Life assurance business					
Ordinary life	Gross	20,894,255	4,024,335	-	24,918,590
	Net	14,515,664	2,089,115	-	16,604,779
Group life	Gross	16,910,248	5,960,411	8,027,742	30,898,401
	Net	8,514,553	1,757,412	4,254,703	14,526,668
Total	Gross	115,011,028	103,962,429	692,668,809	911,642,266
	Net	98,941,332	69,445,256	27,440,432	195,827,020

Maximum insured loss 2009

General insurance business		Shs 0m –Shs 15m Shs'000	Shs 15m –Shs 250m Shs'000	Shs 250m –Shs 1,000m Shs'000	Total Shs'000
Personal accident	Gross	23,423,158	22,638,690	58,542,477	104,604,325
	Net	21,247,419	21,330,667	52,778,229	95,356,315
Motor	Gross	19,524,474	3,328,491	2,395,935	25,248,900
	Net	19,233,205	894,497	873,122	21,000,824
Fire	Gross	33,340,588	54,536,673	339,331,140	427,208,401
	Net	33,282,109	41,245,486	11,309,888	85,837,483
Other	Gross	11,865,542	19,559,466	86,893,746	118,318,754
	Net	11,747,413	11,187,619	7,568,386	30,503,418
Life assurance business					
Ordinary life	Gross	15,761,956	71,000	-	15,832,956
	Net	13,870,521	71,000	-	13,941,521
Group life	Gross	24,232,313	8,808,099	2,263,907	35,304,319
	Net	11,668,184	3,584,445	2,263,907	17,516,536
Total	Gross	128,148,031	108,942,419	489,427,205	726,517,655
	Net	111,048,851	78,313,714	74,793,532	264,156,097



Notes (continued)

6. Interest income

	2010 Shs' 000	Group 2009 Shs' 000	2010 Shs' 000	Company 2009 Shs' 000
Interest on loans, advances and short-term funds	5,127,670	5,058,223	-	-
Government securities- held- to-maturity	143,389	390,628	-	-
Government securities- available-for-sale	1,032,178	1,170,714	-	-
Placements and other bank balances	483,657	406,188	-	-
Other	1,162	70,575	5,807	102,616
	6,788,056	7,096,328	5,807	102,616

7. Interest expense

	2010 Shs' 000	Group 2009 Shs' 000	2010 Shs' 000	Company 2009 Shs' 000
Current accounts	157,280	183,167	-	-
Savings and deposit accounts	1,247,254	1,849,845	-	-
Deposits and placements from other banks	97,964	31,779	-	-
Other interest-bearing liabilities	477,610	379,022	5,807	105,121
	1,980,108	2,443,813	5,807	105,121

8. Fee and commission revenue

	2010 Shs' 000	Group 2009 Shs' 000
Account transaction fees	606,392	637,328
Knowledge-based fees and commission	303,482	272,617
Electronic banking fees	229,190	210,642
Foreign currency service fees	117,247	65,867
Documentation and administration fees	469,962	58,289
Insurance – fees and commissions	342,082	97,539
Trust and asset management fees	42,595	42,595
Other	96,854	80,400
	2,207,804	1,465,277

9. Fee and commission expense

	2010 Shs' 000	Group 2009 Shs' 000
Card based commission	101,326	4,334
Knowledge based fees and commission	6,964	881
Other bank - related fees and commission	1	6,003
	108,291	11,218



Notes (continued)

10. Trading revenue

	2010 Shs'000	Group 2009 Shs'000
Foreign exchange	1,389,137	1,067,188
Debt securities	988,886	267,694
Equities and other income	6,402	24,448
	2,384,425	1,359,330

11. Other revenue

	2010 Shs'000	2009 Shs'000	2010 Shs'000	2009 Shs'000
Gain on disposal of property and equipment	275	6,019	-	-
Gain/(loss) on disposal of available for sale investments	1,191,962	-	-	-
Rental income from investment property	24,408	-	-	-
Fair value gains on investment property	60,606	-	-	-
Dividend income	87,874	-	301,034	-
Other revenue	118,703	227,495	-	-
	1,483,828	233,514	301,034	-

12. Insurance underwriting income

	2010 Shs'000	2009 Shs'000
Gross premiums	6,243,269	5,635,876
Less: reinsurance	(1,922,866)	(1,720,424)
Net premiums	4,320,404	3,915,452
Claims – Gross	3,706,130	4,004,508
Less: Recoveries from reinsurance	(503,375)	(1,195,184)
Net claims	3,202,755	2,809,324
Net premiums less claims	1,117,649	1,106,128

13. Credit impairment charges

	2010 Shs'000	2009 Shs'000
Net credit impairments raised for loans and advances	914,412	1,002,649
Recoveries on loans and advances previously written off	(392,971)	(403,500)
	521,441	599,149
Comprising:		
Net credit impairment charges for non-performing loans	419,482	658,879
Credit impairments for non-performing loans	812,453	1,062,379
Recoveries on loans and advances previously written off	(392,971)	(403,500)
Credit impairments for performing loans	101,959	(59,730)
	521,441	599,149



Notes (continued)

14. Staff costs

	2010 Shs'000	Group 2009 Shs'000	2010 Shs'000	Company 2009 Shs'000
Salaries and allowances	3,012,370	1,987,695	6,410	32,341
Retirement benefit costs	228,961	183,208	-	3,037
National Social Security Fund	2,822	4,019	-	-
Other staff costs	126,344	131,327	-	4,185
	3,370,497	2,306,249	6,410	39,563

15. Other operating expenses

	2010 Shs'000	Group 2009 Shs'000	2010 Shs'000	Company 2009 Shs'000
Amortisation - intangible assets	346,780	291,216	-	101,681
Audit fees	36,660	33,595	2,311	1,882
Depreciation (Note 25)	282,934	323,876	2,582	4,089
Write off of property and equipment	182	22,025	-	-
Directors' fees	31,178	10,684	7,113	5,710
Amortisation of prepaid operating lease (Note 27)	126	2,876	-	-
Premises	378,151	254,652	1,621	6,372
Information technology and communication	817,185	516,646	2,259	-
Professional fees	498,178	319,821	2,644	-
Impairment loss on available for sale securities	32,153	699,449	-	-
Other expenses	3,014,728	2,098,796	18,916	(55,184)
	5,438,255	4,573,636	37,446	64,550

16. Income tax expense

	2010 Shs'000	2009 Shs'000
Current income tax	860,527	639,326
Deferred income tax (Note 35)	56,578	18,507
Previous year deferred tax under/over provision (Note 35)	(5,298)	15,540
Previous year current tax under provision	(68,350)	-
	843,457	673,373

Reconciliation of income tax expense to expected tax based on accounting profit:

	2010 Shs'000	2009 Shs'000
Profit before income tax	2,630,825	709,301
Tax at statutory tax rate of 30% (2009 – 30%)	789,248	212,790
Tax effect of:		
Income not subjected to tax	(172,765)	(82,357)
Expenses not deductible for tax purposes	163,597	350,795
Previous year current and deferred tax under/over provision	(73,648)	15,540
Other items resulting in increased tax	137,025	176,605
Income tax expense	843,457	673,373



Notes (continued)

17. Earnings per share (Group)

Earnings per share are calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	Group		Company	
	2010 Shs'000	2009 Shs'000	2010 Shs'000	2009 Shs'000
Earnings	1,604,773	(59,871)	257,178	(106,618)
Number of shares				
Weighted average number of ordinary shares for the purpose of basic earnings per share	273,684	273,684	273,684	273,684
Earnings per share (Shs) basic and diluted	5.86	(0.22)	0.94	(0.39)

The calculation of basic and diluted earnings per share is based on continuing operations attributable to the ordinary equity holders of the parent entity. There were no discontinued operations during the year. Basic earnings per share is the same as the diluted earnings per share.

18. Dividends

Proposed dividends are not accounted for until they have been ratified at the Annual General Meeting. Dividend proposed for the 2010 financial year is as follows.

	Group	
	2010 Shs'000	2009 Shs'000
Proposed dividend	220,220	-
Number of Shares in thousands	273,684	273,684
		-
Dividend per share	0.80	-

Payments of dividends to members with shareholding below 12.5% are subject to withholding tax at a rate of 5% for residents and 10% for non-residents.

CfC Insurance Holdings Limited declared and paid a special dividend of Kshs 143,680,000 to African Liason and Consultant Services Ltd as part of the demerger transaction.

19. Cash, bank balances and balances with Central Bank of Kenya

	Group		Company	
	2010 Shs'000	2009 Shs'000	2010 Shs'000	2009 Shs'000
Cash and bank balances	1,315,158	2,161,990	859	2,228
Balances with Central Bank of Kenya	4,129,734	2,444,150	-	-
	5,444,892	4,606,140	859	2,228

The cash ratio balance is non-interest earning and is based on the value of deposits as adjusted by the Central Bank of Kenya requirements. These funds are not available to finance the Group's day to day operations.



Notes (continued)

20. Pledged assets

	Group	
	2010 Shs'000	2009 Shs'000
Securities pledged as collateral		
Debt securities - pledged as collateral	2,940,007	3,351,812

Dated pledged assets had a redemption value at 31 December 2010 of Shs 2,661,470,212 (2009 - Shs 3,194,391,363).

The assets pledged by the Group are strictly for the purpose of providing collateral for counter-party. To the extent that the counter-party is permitted to sell and/or re-pledge the assets, they are classified on the balance sheet as pledged assets.

These transactions are conducted under terms that are usual and customary to security lending, security borrowings and lending activities.

21 Financial investments

		Group	
		2010 Shs'000	2009 Shs'000
Financial investments - trading assets	21(a)	4,549,458	5,933,761
Financial investments - Fair value through profit and loss	21(a)	6,801,037	1,729,256
Financial investments - available for sale	21(b)	7,627,715	15,967,680
Financial investments - held to maturity	21(c)	80,000	2,744,715
		19,058,210	26,375,412

(a) Financial investments - trading assets

	Group	
Classification	2010 Shs'000	2009 Shs'000
Listed securities-trading	4,549,458	5,933,761
Unlisted securities -Fair value through profit and loss	6,801,037	1,729,256
	11,350,495	7,663,017

Maturities

The maturities represent periods to contractual redemption of trading assets recorded.

	2010 Shs'000	2009 Shs'000
Maturing within 12 months	10,635,594	5,589,359
Maturing after 12 months	701,744	2,013,226
Undated securities	13,157	60,432
	11,350,495	7,663,017

The maturities represent periods to contractual redemption of trading assets recorded. Dated trading assets had a redemption value at 31 December 2010 of Shs 11,315,214,065 (2009 - Shs 7,642,861,102). Trading assets are debt securities issued by the Central Bank of Kenya on behalf of the Government of Kenya. The weighted average effective interest yield on debt securities held for trading at 31 December 2010 was 5.6% (2009 - 5.75%)



Notes (continued)

21. Financial investments (continued)

Financial investments - trading liabilities

Trading liabilities – designated at fair value through profit and loss

2010 Shs '000	2009 Shs '000
729,153	-
729,153	-

Maturity analysis

Redeemable on demand
Maturing within 1 month

2010 Shs '000	2009 Shs '000
-	-
729,153	-
729,153	-

(b) Financial investments - available-for-sale

	Group	
Classification	2010 Shs'000	2009 Shs'000
Listed	7,627,715	14,335,040
Unlisted	-	1,632,640
	7,627,715	15,967,680

Comprising:

Government securities
Corporate bonds
Listed equities
Unlisted equities

7,064,587	11,526,229
563,128	1,487,526
-	2,853,394
-	100,531
7,627,715	15,967,680

Maturity analysis

Maturing within 12 months
Maturing after 12 months
Undated securities

2010 Shs'000	2009 Shs'000
1,531,121	977,118
6,096,594	12,036,637
-	2,953,925
7,627,715	15,967,680

The weighted average effective interest yield on available-for-sale investment dated securities at 31 December 2010 was 10.88% (2009: 10.09%)

(c) Financial investments - held to maturity

Listed
Unlisted

2010 Shs'000	2009 Shs'000
-	2,646,215
80,000	98,500
80,000	2,744,715

Maturity analysis

Maturing within 12 months
Maturing after 12 months

2010 Shs'000	2009 Shs'000
31,500	183,656
48,500	2,561,059
80,000	2,744,715



Notes (continued)

22. Loans and advances

The Group extends advances to the personal, commercial and corporate sectors as well as to the public sector. Advances made to individuals are mostly in the form of mortgages, installment credit, overdrafts and credit card borrowings.

(a) Loans and advances to banks

	Group	
	2010 Shs '000	2009 Shs '000
Balances with banks	16,239,669	25,081,964

The weighted average effective interest rate during the year for deposits due from banking institutions at 31 December 2010 was 1.91% (2009: 0.35%)

(b) Loans and advances to customers

	Group	
	2010 Shs '000	2009 Shs '000
Gross loans and advances to customers	60,029,765	46,800,028
Mortgage lending	7,295,747	6,787,179
Term lending	29,765,832	18,867,020
Installment sales	8,593,042	6,842,955
Overdrafts and other demand lending	14,375,144	14,302,874
Credit impairment for loans and advances	1,044,804	959,580
Impairments for non-performing loans (Note 22(d))	856,504	873,239
Impairments for performing loans	188,300	86,341
Net loans and advances	58,984,961	45,840,448

Maturity analysis

	Group	
	2010 Shs '000	2009 Shs '000
Redeemable on demand	19,734,287	21,095,862
Maturing within 1 month	1,634,888	1,681,727
Maturing after 1 month but within 6 months	5,010,482	3,396,886
Maturing after 6 months but within 12 months	2,566,098	2,022,503
Maturing after 12 months	30,039,206	17,643,470
	58,984,961	45,840,448

The weighted average effective interest rate on loans and advances to customers as at 31 December 2010 was 11%. (2009:9%).



Notes (continued)

22. Loans and advances (continued)

(c) Segmental analysis – industry

	2010 Shs'000	%	Group 2009 Shs'000	%
Agriculture	8,234,342	14%	6,164,082	13%
Manufacturing	10,359,550	18%	5,851,403	13%
Electricity and water	4,435,398	8%	2,062,299	4%
Building and construction	670,445	1%	845,030	2%
Wholesale, retail trade and restaurants	4,315,826	7%	839,815	2%
Transport and communication	8,405,637	14%	6,834,225	15%
Finance and insurance	1,574,816	3%	2,125,678	5%
Real estate and business service	3,277,626	6%	435,825	1%
Other activities and social service	17,711,321	30%	20,682,091	45%
	58,984,961	100%	45,840,448	100%

(d) Impairment reserve for the year ended 31 December 2010

	Non performing loans Shs'000	Portfolio impairment Shs'000	Group Total Shs'000
At 1 January 2010	873,239	86,341	959,580
Amounts written off during the year as uncollectable	(487,495)	-	(487,495)
Amounts recovered during the year	(340,963)	-	(340,963)
Provision for loans impairment	810,022	101,959	911,981
Off market loans impairment	1,701	-	1,701
At 31 December 2010	856,504	188,300	1,044,804

Impairment reserve for the year ended 31 December 2009

	Non performing loans Shs'000	Portfolio impairment Shs'000	Group Total Shs'000
At 1 January 2009	1,541,156	146,070	1,687,226
Amounts written off during the year as uncollectable	(1,267,831)	-	(1,267,831)
Amounts recovered during the year	(390,063)	-	(390,063)
Provision for loans impairment	1,050,550	(61,338)	989,212
Off market loans impairment	(60,573)	1,609	(58,964)
At 31 December 2009	873,239	86,341	959,580



Notes (continued)

23. Other assets

	2010 Shs'000	Group 2009 Shs'000	2010 Shs'000	Company 2009 Shs'000
Off market loan prepayment	91,523	47,393	-	-
Uncleared effects	880,480	2,017,179	-	-
Insurance premium receivables	-	859,373	-	-
Due from reinsurers	-	211,334	-	-
Reinsurance share of technical provision	-	1,986,945	-	-
Trade receivables and prepayments	239,168	539,681	-	-
Others	234,944	299,637	-	133,023
	1,446,115	5,961,542	-	133,023

24. Investment in subsidiaries and associates

Associates

	Group 2010 Shs' 000	2009 Shs' 000
At 1 January	337,675	236,770
Additions	3,263	-
Currency translation adjustment	(21,500)	-
Share of profit after tax	99,808	82,238
Dividends	(10,129)	(23,195)
Share of fair value (losses)/gains	4,173	41,862
Transfer to assets held for distribution	(313,179)	-
At 31 December	100,111	337,675

Strategis Insurance Company (T) Limited and Alliance Insurance Company (T) Limited (both incorporated in Tanzania) are associates of Heritage All Insurance Company (T) Limited in which it owns 49% and 45% of the shares respectively. The Group acquired a beneficial interest of 24.42% in Stanbic Investment Management Services (East Africa) Limited (incorporated in Kenya) in 2008. The reporting date of the associates' financial statements is 31 December. Investment in associates has been accounted for using the equity method of accounting.

The summarised financial information of the associates is as follows:

	Total assets Shs'000	Total liabilities Shs'000	Revenue Shs'000	Profit after tax Shs'000	% Interest held Shs'000
Year ended 31 December 2010					
Stanbic Investment Management Services (E.A) Limited	666,388	301,556	520,053	180,320	24%
Alliance Insurance Corporation Limited	1,193,235	684,493	682,019	89,142	45%
Strategis Insurance (Tanzania) Limited	641,818	484,115	394,527	35,105	49%
Year ended 31 December 2009					
Stanbic Investment Management Services (E.A) Limited	340,813	122,598	385,977	90,145	24%
Alliance Insurance Corporation Limited	1,300,892	924,807	406,600	93,236	45%
Strategis Insurance (Tanzania) Limited	421,145	219,105	157,481	37,916	49%



Notes (continued)

24. Investment in subsidiaries and associates (continued)

Subsidiaries

Company	Beneficial ownership	Country of Incorporation	Company	
			2010 Shs'000	2009 Shs'000
CfC Stanbic Bank Limited	100%	Kenya	14,129,114	14,129,114
CfC Stanbic Financial Services Limited	100%	Kenya	165,530	100,530
The Heritage Insurance Company (K) Limited	64%	Kenya	-	65,705
Azali Limited	64%	Kenya	-	-
The Heritage Insurance Company (T) Limited	38%	Tanzania	-	-
CfC Insurance Holdings Limited (formerly CfC Holdings Limited)	53%	Kenya	661,505	595,000
CfC Life Assurance Limited	100%	Kenya	-	-
CfC Investments Limited	100%	Kenya	-	-
			14,956,149	14,890,349
Less:				
Assets classified as held for distribution				
CfC Insurance Holdings Limited (formerly CfC Holdings Limited)	53%	Kenya	661,505	-
			14,294,644	14,890,349

25. Property and equipment

(a) Group	Land and premises	Equipment furniture & fittings	Motor vehicles	Total
Cost / valuation	Shs'000	Shs'000	Shs'000	Shs'000
At 1 January 2010	1,105,410	3,248,973	178,398	4,532,781
Additions	5,664	327,143	24,860	357,667
Disposals	-	(9,661)	(6,873)	(16,534)
Eliminated on write off	-	(11,934)	-	(11,934)
Revaluation	31,558	-	-	31,558
Reclassification	2,867	(9,150)	32,482	26,199
Currency translation	-	(2,565)	(787)	(3,352)
Transfer to assets held for distribution(Note 42)	(741,567)	(875,064)	(97,401)	(1,714,032)
At 31 December 2010	403,932	2,667,742	130,679	3,202,353
Depreciation				
At 1 January 2010	23,895	1,431,997	114,224	1,570,116
Eliminated on write off	-	(11,064)	(688)	(11,752)
Charge for the year	7,856	244,423	30,655	282,934
Disposals	-	(5,452)	(5,848)	(11,300)
Currency adjustment	-	(2,035)	(647)	(2,682)
Transfer to assets held for distribution(Note 42)	(8,281)	(461,588)	(66,196)	(536,065)
At 31 December 2010	23,470	1,196,281	71,500	1,291,251
Net book value at 31 December 2010	380,462	1,471,461	59,179	1,911,102

As at 31 December 2010, there were no items of property and equipment pledged by the Group to secure liabilities. Buildings were revalued as at 31 December 2010, by Tysons Limited, independent valuers, on the basis of the market value for existing use. The book values of the properties were adjusted to the revaluations and the resultant surplus net of deferred tax was credited to the revaluation surplus in shareholders equity.



Notes (continued)

25. Property and equipment (continued)

Analysis of property and equipment classified as held for distribution

	Land and premises	Equipment furniture & fittings	Motor vehicles	Total
Cost / valuation	Shs'000	Shs'000	Shs'000	Shs'000
Cost / valuation	741,567	875,064	97,401	1,714,032
Less : accumulated depreciation	(8,281)	(461,589)	(66,196)	(536,066)
Net book value	733,286	413,475	31,205	1,177,966
Cost / valuation				
At 1 January 2009	1,209,192	2,231,780	165,067	3,606,039
Additions	86,274	931,767	17,692	1,035,733
Disposals	-	(45,607)	(9,166)	(54,773)
Eliminated on write off	-	(26,703)	-	(26,703)
Revaluation	(1,937)	-	-	(1,937)
Reclassification	(219,358)	219,358	-	-
Currency translation	-	3,221	1,070	4,291
Adjustments	31,239	(64,843)	3,735	(29,869)
At 31 December 2009	1,105,410	3,248,973	178,398	4,532,781
Depreciation				
At 1 January 2009	20,498	1,199,678	89,333	1,309,509
Eliminated on write off	-	(4,678)	-	(4,678)
Charge for the year	16,235	276,199	31,442	323,876
Disposals	-	(41,529)	(7,272)	(48,801)
Currency adjustment	-	2,327	721	3,048
Eliminated on revaluation	(4,527)	-	-	(4,527)
Adjustments	(8,311)	-	-	(8,311)
At 31 December 2009	23,895	1,431,997	114,224	1,570,116
Net book value at 31 December 2009	1,081,515	1,816,976	64,174	2,962,665

As at 31 December 2009, there were no items of property and equipment pledged by the Group to secure liabilities. Buildings were revalued as at 31 December 2009, by Tysons Limited, independent valuers, on the basis of the market value for existing use. The book values of the properties were adjusted to the revaluations and the resultant surplus net of deferred tax was credited to the revaluation surplus in shareholders equity.



Notes (continued)

25. Property and equipment (continued)

b) Company

	Computer Equipment Shs '000	Motor vehicles Shs '000	Total Shs'000
Cost			
At 1 January 2010	1,659	14,500	16,159
At 31 December 2010	1,659	14,500	16,159
Depreciation			
At 1 January 2010	(1,188)	(7,250)	(8,438)
Charge for the year	(166)	(2,417)	(2,583)
At 31 December 2010	(1,354)	(9,667)	(11,021)
Net book value at 31 December 2010	305	4,833	5,138

As at 31 December 2010 and 31 December 2009, there were no items of property and equipment pledged by the Company to secure liabilities.

	Computer Equipment Shs '000	Motor vehicles Shs '000	Total Shs'000
Cost			
At 1 January 2009	1,659	14,500	16,159
At 31 December 2009	1,659	14,500	16,159
Depreciation			
At 1 January 2009	(724)	(3,625)	(4,349)
Charge for the year	(464)	(3,625)	(4,089)
At 31 December 2009	(1,188)	(7,250)	(8,438)
Net book value at 31 December 2009	471	7,250	7,721

26. Investment properties

	2010 Shs '000	2009 Shs '000
As at January	412,000	366,500
Additions	894	-
Net gain from fair value adjustments	47,106	-
Disposals	-	(32,500)
Transfer to assets held for distribution(Note 42)	(460,000)	78,000
At 31 December	-	412,000



Notes (continued)

27. Prepaid operating lease

	2010 Shs'000	Group 2009 Shs'000
Cost		
At 1 January	86,818	36,000
Transfer to assets held for distribution	(1,000)	
Reclassification	(319)	-
Adjustment	-	50,818
At 31 December	85,499	86,818
Amortisation		
At 1 January	13,164	1,977
Charge for the year	126	2,876
Transfer to assets held for distribution(Note 42)	(329)	
Reclassification	916	-
Adjustment	-	8,311
At 31 December	13,877	13,164
Net book value at 31 December	71,622	73,654

	Shs'000	Total Shs'000
Prepaid leases classified as held for distribution		
Cost / valuation	1,000	1,000
Less : accumulated depreciation	(329)	(329)
Net book value	671	671

28. Intangible assets

	Software Shs'000	Other intangible assets Shs'000	2010 Total Shs'000
Cost			
At 1 January 2010	1,621,096	1,099,059	2,720,155
Additions	200,549	-	200,549
Reclassifications to other receivables	(35,593)	-	(35,593)
Transfer to assets held for distribution(Note 42)	(322,845)	-	(322,845)
At 31 December 2010	1,463,207	1,099,059	2,562,266
Amortisation			
At 1 January 2010	-	-	-
At 1 January 2010	482,200	163,028	645,228
Charge for the year	215,026	131,754	346,780
Transfer to assets held for distribution(Note 42)	(155,795)	-	(155,795)
At 31 December 2010	541,431	294,782	836,213
Net book value at 31 December 2010	921,776	804,277	1,726,053



Notes (continued)

28. Intangible assets (continued)

	Software Shs'000	Other intangible assets Shs'000	2010 Total Shs'000
Cost			
At 1 January 2009	865,688	1,099,059	1,964,747
Additions	788,363	-	788,363
Transfer on disposal of Fund management division	(95)	-	(95)
Reclassifications to other receivables	(32,860)	-	(32,860)
At 31 December 2009	1,621,096	1,099,059	2,720,155
Amortisation			
At 1 January	292,665	61,347	354,012
Charge for the year	189,535	101,681	291,216
At 31 December 2009	482,200	163,028	645,228
Net book value at 31 December 2009	1,138,896	936,031	2,074,927

	Software Shs'000	Total Shs'000
Analysis of intangibles classified as held for distribution		
Cost	322,845	322,845
Less : accumulated depreciation	(155,795)	(155,795)
Net book value	167,050	167,050

The intangible assets arising from the business combination comprise of the following:

	Cost Shs'000	Useful life years
Trade names	260,000	15
Customer relationships	475,000	5 - 15
Others	364,059	2 - 5
	1,099,059	

29. Intangible assets - goodwill

	Group 2010 Shs '000	2009 Shs '000
Cost		
At 1 January	10,434,405	10,434,405
At 31 December	10,434,405	10,434,405

During the year, the Group assessed the recoverable amount of goodwill and determined that goodwill associated with the life assurance business and banking business was not impaired. The recoverable amount of the life assurance and banking business was assessed by reference to the cash generating unit's value-in-use. A discount factor of 10% per annum (2009: 10% per annum) was applied in the value-in-use model.



Notes (continued)

30. Ordinary share capital

Authorised share capital

	Group and Number of Ordinary shares (thousands)	Company shares Shs'000
Balance as at 1 January 2009	273,684	1,368,421
Balance as at 31 December 2009, 1 January 2010 and 31 December 2010	273,684	1,368,421

Issued ordinary shares

	Number of Ordinary shares (thousands)	shares Shs'000
Balance as at 1 January 2009	273,684	1,368,421
Balance as at 31 December 2009, 1 January 2010 and 31 December 2010	273,684	1,368,421

Ordinary share premium

	2010 Shs'000	2009 Shs'000
At January	13,586,847	13,586,847
At 31 December	13,586,847	13,586,847

31. Derivative assets and (liabilities)

Foreign currency forwards

	2010 Shs'000	2009 Shs'000
Net fair value	29,508	(16,228)
Contract/ notional amount	35,419,929	(5,318,481)

All derivatives are classified as derivatives held for trading.

Fair values

The fair value of a derivative financial instrument represents, for quoted instruments, the quoted market price and for unquoted instruments, the present value of the positive or negative cash flows, which would have occurred if the rights and obligations arising from that instrument were closed out in an orderly market place transaction at year end.

Notional amount

The gross notional amount is the sum of the absolute value of all bought and sold contracts. The amount cannot be used to assess the market risk associated with the position and should be used only as a means of assessing the Group's participation in derivative contracts.

Use and measurement of derivative instruments

In the normal course of business, the Group enters into a variety of derivative transactions for both trading purposes. Derivative financial instruments are entered into for trading purposes and for hedging foreign exchange exposures. Derivative instruments used by the Group in both trading and hedging activities include forwards and other similar types of instruments based on foreign exchange rates and interest rates.



Notes (continued)

32. Deposits and current accounts

Deposit products include cheque accounts, savings accounts, call and notice deposits, fixed deposits and negotiable certificates of deposit.

	2010 Shs'000	Group 2009 Shs'000
Deposits from banks	14,269,483	21,059,626
Deposits from customers	71,425,115	61,474,379
Current accounts	34,491,282	25,470,229
Call deposits	6,903,840	5,741,143
Savings accounts	1,168,080	889,997
Term deposits	28,861,913	29,373,010
	85,694,598	82,534,005

Maturity analysis of deposits from customers

The maturity analysis is based on the remaining periods to contractual maturity from year end.

	2010 Shs'000	Group 2009 Shs'000
Repayable on demand	43,297,521	39,609,106
Maturing within 1 month	16,206,518	5,621,962
Maturing after 1 month but within 6 months	10,599,899	8,264,094
Maturing after 6 months but within 12 months	1,248,483	7,972,898
Maturing after 12 months	72,694	6,319
	71,425,115	61,474,379

33. Borrowings

	2010 Shs'000	2009 Shs'000	Company 2010 Shs'000	Group 2009 Shs'000
Term loans	-	700,000	-	200,000
Corporate bond	5,451,215	3,040,224	-	-
IFC loan	807,072	758,566	-	-
Shareholders' loan	808,075	757,828	-	-
	7,066,362	5,256,618	-	200,000

The Bank issued the second tranche of the CfC Stanbic bond (Shs 2.5 billion, 4 year term) in December 2010. The corporate bond of Shs 800 million issued by the Bank on 31 October 2005 has a 7 year maturity and pays interest at the rate of the Treasury Bill just before re-pricing plus 1.75%. The bond reprices quarterly. In addition the Bank issued an 8 year corporate bond of Shs 2.5 billion in July 2009. Interest on the fixed bond portfolio is payable at 12.50% while the floating rate is priced at 1.75% above the 182 day Treasury Bill rate. The shareholders' loan was obtained from Stanbic Africa Holdings Limited on 30 June 2008 and has a 10-year term, but is callable at the option of the issuer one day after the fifth anniversary of the issue date or any interest payment date thereafter. Interest is payable quarterly at 3 months, Libor plus 300 basis points.

The subsidiaries of the group paid off the term loan of Shs 200 million from Commercial Bank of Africa Limited (CBA) and rolled over the NIC Bank Limited loan of Shs 500m(13.5%).



Notes (continued)

34. Other liabilities

	2010 Shs'000	2009 Shs'000	2010 Shs'000	2009 Shs'000
Payable under deposit administration	-	7,609,037	-	-
Insurance contract liabilities	-	5,618,795	-	-
Sundry Creditors and provisions	2,742,737	2,906,170	-	-
Unearned insurance premiums	-	1,892,028	-	-
Payable under reinsurance arrangements	-	623,918	-	-
Unpresented bank drafts	167,070	224,030	-	-
Other liabilities	208,774	619,776	18,914	33,908
	3,118,581	19,493,754	18,914	33,908

35. Deferred tax

a) Deferred tax asset

	Group	
	2010 Shs'000	2009 Shs'000
At start of year	11,424	280,722
Credit/(charge) to income statement	2,705	(26,423)
Credit to other comprehensive income(OCI)	-	(14,726)
Transfer to assets held for distribution (note 42)	(14,129)	-
Consolidation adjustment	-	(228,149)
At end of year	-	11,424

The company did not have transactions and balances that attract deferred tax as at 31 December 2010.

Year ended 31 December 1 2010

	January 2010 Shs'000	Adjustment on consolidation Shs'000	Credit/ (charge) to P/L Shs'000	Credit/ (charge) to OCI Shs'000	Assets held for distribution (note 42) Shs'000	31 Dec 2010 Shs'000
Arising from:						
Property and equipment	7,572	(3,573)	1,884	-	(5,883)	-
Tax losses	42,972	(42,972)	-	-	-	-
Other provisions	68,128	(60,368)	486	-	(8,246)	-
Consolidation adjustment	(106,072)	106,072	-	-	-	-
Currency translation	(1,176)	841	335	-	-	-
Net deferred tax asset	11,424	-	2,705	-	(14,129)	-



Notes (continued)

35. Deferred tax (Continued)

Year ended 31 December 2009

	1 January 2009 Shs'000	Adjustment on consolidation Shs'000	Credit/ (charge) to P/L Shs'000	Credit/ (charge) to OCI Shs'000	31 Dec 2009 Shs'000
Arising from:					
Property and equipment	(7,432)	-	15,004	-	7,572
Unrealised gain on bonds	54,881	-	(54,881)	-	-
Portfolio impairment	43,821	-	(43,821)	-	-
Property and equipment revaluation surplus	(36,779)	-	-	36,779	-
Tax losses	4,662	-	38,310	-	42,972
Other provisions	101,794	(525)	18,965	(52,106)	68,128
Consolidation adjustment	121,552	(227,624)	-	-	(106,072)
Currency translation	(1,777)	-	-	601	(1,176)
Net deferred tax asset	280,722	(228,149)	(26,423)	(14,726)	11,424

b) Deferred tax liability

	Group	
	2010 Shs'000	2009 Shs'000
At start of year	(48,743)	(56,721)
Charge to income statement	(53,985)	(7,624)
Charge to other comprehensive income	(178,219)	(88,503)
Consolidation adjustment	399	104,105
Transfer to liabilities held for distribution (note 42)	80,105	-
At end of year	(200,443)	(48,743)

	1 Jan 2010 Shs'000	Consolida- -tion adjustment Shs'000	Credit/ (charge) to P/L Shs'000	Credit/ (charge) to OCI Shs'000	Related liabilities held for distribution (note 42)	31 Dec Shs'000
Arising from:						
Property and equipment	(67,296)	31,210	(167,598)	-	(32,544)	(236,228)
Unrealised gain on bonds	(54,602)	50,983	(17,576)	(178,219)	-	(199,414)
Portfolio impairment	25,902	7,619	31,756	-	-	65,277
Property and equipment revaluation surplus	(13,716)	(25,857)	(8,788)	-	11,582	(36,779)
Investment property fair value gains	(77,270)	(20,896)	(4,333)	-	102,499	-
Other provisions	32,167	63,412	112,554	-	(1,432)	206,701
Consolidation adjustment	106,072	(106,072)	-	-	-	-
Net deferred tax liability	(48,743)	399	(53,985)	(178,219)	80,105	(200,443)



Notes (continued)

35. Deferred tax (Continued)

Year ended 31 December 2009

	1 January 2009 Shs'000	Adjustment on consolidation Shs'000	Credit/ (charge) to P/L Shs'000	Credit/ (charge) to OCI Shs'000	31 Dec 2009 Shs'000
Arising from:					
Property and equipment	-	-	(67,296)	-	(67,296)
Unrealised gain on bonds	-	-	49,228	(103,830)	(54,602)
Portfolio impairment	-	-	25,902	-	25,902
Property and equipment revaluation surplus	26,547	-	(3,484)	(36,779)	(13,716)
Investment property fair value gains	(61,817)	-	(15,453)	-	(77,270)
Other provisions	(21,451)	(1,967)	3,479	52,106	32,167
Consolidation adjustment	-	106,072	-	-	106,072
Net deferred tax liability	(56,721)	104,105	(7,624)	(88,503)	(48,743)

36. Notes to the cashflow statement

(a) Reconciliation of profit before taxation to net cash generated from operating activities

	Group	
	2010 Shs'000	2009 Shs'000
Profit before taxation	2,630,825	709,301
Depreciation (Note 25(a))	282,934	323,876
Amortisation of intangible asset (Note 28)	346,780	291,216
Write off and net reclassification of property and equipment	182	22,025
Amortisation of operating lease prepayments (Note 27(a))	126	2,876
Profit on sale of equipment	(275)	(3,019)
Profit on sale of investment property	-	(3,000)
Fair value adjustment for investment property	(60,606)	(78,000)
Currency translation differences	-	(1,347)
Fair value adjustment for derivative assets	(45,736)	-
Share of results of associates	(99,808)	-
Share based payment reserve	18,906	-
	3,073,328	1,263,928

(b) Analysis of balances of cash and cash equivalents as shown in the balance sheet and notes

	2,010 Shs'000	2,009 Shs'000
Cash, bank balances and balances with Central Bank of Kenya	4,150,030	1,855,374
Treasury bills and bonds	2,143,300	4,210,532
Deposits and balances due from banking institutions	16,580,268	25,081,964
Deposits and balances due to banking institutions	(14,269,483)	(21,059,626)
	8,604,115	10,088,244

For the purposes of the cash flow statement, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from banks repayable within three months from the date of the advances.



Notes (continued)

37. Fair value of financial instruments

The table below analyses financial instruments carried at fair value, by level of fair value hierarchy. The different levels are defined as follows:

Level 1 quoted prices in active markets for identical assets or liabilities.

Level 2 inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.

Level 3 inputs for the asset or liability that are not based on observable market data (unobservable inputs)

31 December 2010		Level 1	Level 2	Level 3	Group Total
	Note	Shs'000	Shs'000	Shs'000	Shs'000
Assets					
Financial investments	21	13,157	18,965,053	-	18,978,210
Pledged assets	20	-	2,940,007	-	2,940,007
		13,157	21,905,060	-	21,918,217
Comprising					
Held for Trading	21	13,157	4,536,301	-	4,549,458
Available-for-sale	21	-	17,368,759	-	17,368,759
		13,157	21,905,060	-	21,918,217
Assets					
Derivative assets	31	-	(29,508)	-	(29,508)
		-	(29,508)	-	(29,508)
Comprising					
Held for trading	31	-	(29,508)	-	(29,508)
		-	(29,508)	-	(29,508)

31 December 2009		Level 1	Level 2	Level 3	Total
	Note	Shs'000	Shs'000	Shs'000	Shs'000
Assets					
Financial investments	21	2,913,826	20,616,340	100,531	23,630,697
Pledged assets	20	-	3,351,812	-	3,351,812
		2,913,826	23,968,152	100,531	26,982,509
Comprising					
Held for Trading	21	60,432	7,602,585	-	7,663,017
Available-for-sale	21	2,853,394	16,365,567	100,531	19,319,492
		2,913,826	23,968,152	100,531	26,982,509
Liabilities					
Derivative liabilities	31	-	16,228	-	16,228
		-	16,228	-	16,228
Comprising					
Held for trading	31	-	16,228	-	16,228
		-	16,228	-	16,228



Notes (continued)

38. Related party transactions

CfC Stanbic Holdings Limited is a subsidiary of Stanbic Africa Holdings Limited (SAHL), incorporated in the United Kingdom. The ultimate parent of SAHL is Standard Bank Group Limited, which is incorporated in South Africa. There are other companies which are related to CfC Stanbic Group through common shareholdings or common directorships. In the normal course of business, nostro and vostro accounts are operated and placing of both foreign and local currencies are made with the parent company and other Group companies at interest rate in line with the market. The relevant balances are as shown below:

Group	2010 Shs' 000	2009 Shs' 000
Amounts due from the Standard Bank Group	14,115,973	22,416,488
Interest income earned on the above	249,988	251,011
Amounts due to the Standard Bank Group	4,983,639	1,040,113
Interest expenses incurred on the above	32,801	32,588

Company	2010 Shs' 000	2009 Shs' 000
Amounts due from the group companies	243,009	275,586
Amounts due to group companies	178,496	324,432

Loans and advances

Included in loans and advances are amounts advanced to certain companies in which directors are involved either as shareholders or directors (associated companies). In addition, there are contingent liabilities including guarantees and letters of credit, which have been issued to associated companies. The balances as at 31 December 2010 are as shown below;

Directors associated companies	2010 Shs' 000	2009 Shs' 000
At 1 January	1,068,922	651,237
Net movement for the year	852,455	417,685
At 31 December	1,921,377	1,068,922

Employees

	2010 Shs' 000	2009 Shs' 000
At 1 January	1,332,213	879,678
Net movement for the year	379,513	452,535
At 31 December	1,711,726	1,332,213

There were no outstanding advances to directors (2009: Nil). These loans and advances are performing and adequately secured.

Deposits

	2010 Shs' 000	2009 Shs' 000
At 1 January	1,615,004	1,530,914
Net movement for the year	84,090	84,090
At 31 December	1,699,094	1,615,004



Notes (continued)

38. Related party transactions (continued)

Key management compensation

	2010 Shs '000	2009 Shs '000
Salaries and other short-term employment benefits	441,205	428,552
Directors' remuneration		
Fees for services as directors	31,178	10,684
Other emoluments (included in key management compensation above)	155,831	28,320
	187,009	39,004

Contingent liabilities at 31 December 2010 include contingencies on behalf of companies associated to the directors of Shs 561,343,000 (2009 - Shs 1,298,823,000).

The Group incurred the following related party expenses;

	2010 Shs '000	2009 Shs '000
Management fees	331,937	225,213
Information technology	396,398	204,963
Other operating costs	50,997	94,683
	779,332	524,859

All related party transactions are at arms length and in the normal course of business.

39. Retirement benefit liability

The Group operates a retirement benefit arrangement known as the Stanbic Bank Kenya Staff Pension and Life Assurance Scheme ('the Scheme'), which has been inherited by the Group on the acquisition of Stanbic Bank Kenya Limited. The Scheme is sponsored by CfC Stanbic Bank. Until 30 September 2001 the Scheme operated on a defined benefits' basis. With effect from 1 October 2001 the Trustees of the Scheme resolved to convert the Scheme to operate on a "defined contribution" basis in respect of the active in-service members. In compliance with the provisions of the Trust Deed and Rules of the Scheme, the Group (sponsoring employer) gave its approval to the conversion. Under a defined contribution basis the quantum of benefits received by the member at retirement or earlier exit depend on the actual contributions paid plus interest declared on the actual contributions to the date of retirement or earlier exit.

With effect from 1 October 2001 all the active in-service members were transferred to the defined contribution fund with the actuarial reserves / liabilities calculated on the defined benefits basis as at 30 September 2001 forming the opening balances in the members' defined contribution fund credit.

Pensions have continued to be paid to existing pensioners from the Scheme Fund and the terms for benefit provision to deferred pensioners have been retained on a defined benefits basis. Accordingly, the pension benefits payable to all the existing pensioners and deferred pensioners will continue to be met from the resources of the Scheme Fund.

The consulting actuaries carried out an actuarial review of the Scheme as at 31 December 2010 and that valuation revealed the following financial position.



Notes (continued)

39. Retirement benefit liability (continued)

	2010 Shs'000	2009 Shs'000
Present value of funded obligations	103,738	105,675
Fair value of plan assets	(113,271)	(107,211)
Present value of unfunded obligations/(over funding)	(9,533)	(1,536)
Unrecognised actuarial gains/ (losses)	9,533	1,536
Liability or asset in the balance sheet	-	-

The movement in the defined benefit obligation over the year was as follows:

	2010 Shs'000	2009 Shs'000
At start of year	105,675	105,633
Current service cost	1,761	629
Interest cost	9,924	10,031
Actuarial losses	1,000	3,019
Benefits paid	(14,622)	(13,637)
At end of year	103,738	105,675

The movement in the fair value of the plan assets is as follows:

	2010 Shs'000	2009 Shs'000
At start of year	107,211	103,401
Expected return on scheme assets	9,990	9,808
Actuarial gains/ (losses)	10,692	7,639
Benefits and expenses paid	(14,622)	(13,637)
At end of year	113,271	107,211

Plan assets comprise:

	2010 Shs'000	%	2009 Shs'000	%
Equity instruments	22,911	20%	17,348	16%
Debt instruments	50,989	45%	53,646	50%
Property and other	39,371	35%	36,217	34%
	113,271	100%	107,211	100%

The principal actuarial assumptions used in 2010 were as follows:

Rate of return on investments/discount rate	10% p.a. compound
Rate of pension increases	0% p.a.
Mortality in retirement	a (55) Males/Females Ultimate
Mortality in deferment	A1949 / 52 Ultimate

Five year summary

	2010 Kshs'000	2009 Kshs'000	2008 Kshs'000	2007 Kshs'000	2006 Kshs'000
Present value of defined benefit obligation	103,738	105,675	105,633	108,025	119,252
Fair value of plan assets	(113,271)	(107,211)	(103,401)	(114,452)	(127,974)
(Surplus)/(deficit in plan)	(9,533)	(1,536)	2,232	(6,427)	(8,722)



Notes (continued)

40. Contingent liabilities

	2010 Shs '000	Group 2009 Shs '000
Commitments with respect to:		
Guarantees and performance bonds	4,882,015	4,005,942
Acceptances and letters of credit	7,172,119	6,641,888
Others	61,321,409	1,036,791
	73,375,543	11,684,621

Nature of contingent liabilities

Letters of credit commit the Group to make payments to third parties, on production of documents, which are subsequently reimbursed by the customers.

Guarantees are generally written by a Group to support performance by a customer to third parties. The bank will only be required to meet these obligations in the event of customers' default.

An acceptance is an undertaking by the Group to pay a bill of exchange drawn on a customer. The Group expects most of the acceptances to be presented, and to be reimbursed by the customer almost immediately.

41. Other reserves

	2010 Shs '000	Group 2009 Shs '000
Statutory reserve	246,329	358,706
Fair value reserve	1,534,664	393,751
Currency translation reserve	(32,348)	(28,911)
Capital reserves	288,173	273,371
Share based payment reserve	32,394	13,488
Revaluation reserve	132,461	301,732
At end of year	2,201,673	1,312,137

The revaluation reserve represents solely the surplus on the revaluation of buildings and freehold land net of deferred income tax and is non-distributable.

Fair value reserve represents the surplus or losses arising on fair valuation of available for sale financial instruments.

Currency translation reserve represents exchange differences arising on the translation of the net investment in foreign entities.

The statutory reserve represents:

- the surpluses from the life fund whose distribution is subject to restrictions imposed by the Kenya Insurance Act ; and
- regulatory reserve which is an appropriation from retained earnings to comply with the Central Bank of Kenya's Prudential Regulations. The balance in the reserve represents the excess of impairment provisions determined in accordance with the Prudential Regulations over the impairment provisions recognised in accordance with the Company's accounting policy. The reserve is not distributable.



Notes (continued)

41. Other reserves (continued)

The group's share incentive scheme enables key management personnel and senior employees of the group to benefit from the performance of Standard Bank Group (SBG) shares.

The group has two equity-settled schemes, namely the Group Share Incentive Scheme and the Equity Growth Scheme. The Group Share Incentive Scheme confers rights to employees to acquire ordinary shares at the value of the SBG share price at the date the option is granted. The Equity Growth Scheme represents appreciation rights allocated to employees. The eventual value of the right is effectively settled by the issue of shares equivalent in value to the value of the rights.

As at 31 December 2010, the total amount included in share based payment reserve for Group Share Incentive Scheme was Shs 31,172,000 (2009 - Shs 12,266,041) and for Equity Growth Scheme was Shs 1,221,659 (2009 - Shs 1,221,659).

The share based arrangement is accounted for as equity settled in the consolidated financial statements of the parent. The company measures the services received from the employees, by reference to the grant date fair value, and recognised as an expense over the vesting period, with a corresponding credit to equity.

42. Restructuring and Demerger

CfC Stanbic Holdings Limited is in the process of streamlining its group corporate structure. CfC Life Assurance limited, Heritage Insurance Company Limited and their subsidiaries have already been constituted as wholly owned subsidiaries of CfC Insurance Holdings Limited (formerly CfC Holdings Limited).

CfC Insurance Holdings Limited will be separately listed on the Nairobi Stock Exchange in the course of 2011.

The remaining steps in the transaction which will now take place are:

- CfC Stanbic Holdings (CSH) distributing its shareholding in CfC Insurance Holdings Limited (CfCIH) to its shareholders by declaring a dividend in specie at the ratio of one share in CfCIH received for each CSH share held.
- Liberty Holdings Limited acquiring, following the distribution of CSH's shareholding in CfCIH in specie, via a renunciation from Stanbic Africa Holdings Limited (SAHL), the right to receive all the shares that SAHL would be entitled to receive in CfCIH pursuant to the dividend in specie. As a result Liberty Holdings Limited will acquire a controlling stake in CfCIH; and
- CfCIH being listed on the Nairobi Stock Exchange by way of introduction.



Notes (continued)

42. Restructuring and Demerger (Continued)

Assets and related liabilities for entities that will eventually have CfCIH as the holding company have been classified as “Assets classified as held for distribution” and “Liabilities directly associated with assets classified as held for distribution”

A breakdown of these assets and liabilities is shown below;

Assets and related liabilities held for distribution

	Group 31 December 2010 Shs'000	Company 31 December 2010 Shs'000
Assets		
Cash and bank balances	1,852,006	
Financial investments	13,427,579	
Loans and advances	1,487,335	
Loans and advances to banks	340,599	
Loans and advances to customers	1,146,736	
Other assets	2,563,357	
Investment in subsidiaries and associates	313,179	661,505
Property and equipment	1,177,966	
Investment properties	460,000	
Prepaid operating lease	671	
Other intangible assets	167,050	
Current tax recoverable	71,429	
Deferred income tax asset	14,129	
Assets classified as held for distribution	21,534,701	661,505
Total liabilities		
Borrowings	500,000	
Other liabilities	17,642,086	
Balances due to group companies	-	
Current income tax payable	33,432	
Deferred income tax liability	80,105	
Liabilities directly associated with assets classified as held for distribution	18,255,623	-



Shareholding

Shareholding

The ten largest shareholdings in the company and the respective number of shares held as at 31 December 2010 are as follows:

Name	Number of shares held	shareholding (%)
1. Stanbic Africa Holdings Ltd. (UK)	113,341,663	41.41%
2. Stanbic Nominees (K) Ltd A/C NR 00901	50,868,863	18.59%
3. African Liason and Consultant Services Ltd	43,063,683	15.73%
4. Sovereign Trust Ltd	18,160,554	6.64%
5. Feneast Nominees Ltd	7,000,000	2.56%
6. Archer and Wilcock Nominees Ltd	6,125,000	2.24%
7. Kingsway Nominees Ltd	5,198,498	1.90%
8. The Government of Kenya	4,342,548	1.59%
9. Beechwood Overseas Ltd	3,749,801	1.37%
10. Jani, Uday Prahlad	3,500,000	1.28%

The distribution of shareholders is as follows:

	Number of shareholders	Number of shares held	Shareholding (%)
1 – 500	1,592	330,471	0.12%
501 – 5,000	1,325	2,231,572	0.82%
5,001 – 10,000	426	3,177,825	1.16%
10,001 – 100,000	260	6,966,323	2.54%
100,001 – 1,000,000	24	5,627,410	2.06%
Over 1,000,000	10	255,350,610	93.30%
Total	3,637	273,684,211	100%



Proxy Form

To: The Company Secretary
CfC Stanbic Holdings Limited
P O Box 72833-00200
NAIROBI

PROXY FORM

I/We,.....,

of P O Box

being a member of CfC STANBIC HOLDINGS LIMITED hereby appoint.....

of

or failing him

of

as my/our proxy to vote on my/our behalf at the Annual General Meeting of the Company to be held on 25 May 2011 and at any adjournment thereof.

Dated thisday of 2011

Signed

Name

Note: The proxy form should be completed and returned not later than 48 hours before the meeting or any adjournment thereof.



Handwriting practice lines consisting of 28 horizontal lines. The lines are evenly spaced and extend across the width of the page, providing a guide for letter height and placement.



